India vs. China vs. US: Who Wins the Next Decade? | WTF is Finance | Ep 1 ft. Ruchir Sharma

For me, what does capitalism mean and what is the difference between capitalism and other forms? For me, capitalism is about giving people as much economic freedom as possible. Will our visas get cancelled if we say why Americans are unhappy? I hope not. I'm not sure we have gone that bad as yet in America.

Is there a line? I think Bitcoin is here to stay, crypto is here to stay. This has lasted long enough. It's getting mainstream.

You think so? Yeah. Whether it's banks or asset management firms who told you five years ago, we'll never touch this thing. Have you got an allocation? Hi, Ruchir.

Thank you for coming. You've been on this table before, you had lunch here before. So I hope you feel slightly more comfortable than you might in a new place altogether.

Yeah. I think that's fair. I mean, in terms of although the approach to the apartment is a bit of a project, but otherwise, if you look... Has something changed? In what way? Approach to the apartment? No, no, no.

I just think that even last time because of the fact that this is a big complex here, right? So in terms of the fact that getting this specific B2 location in terms of the coordinates. No, I thought because of the Ganesha thing, maybe you were stuck on that. No, no, no.

It was fine today. No traffic? No, I mean, it's pretty good. I mean, as you know, like in Bombay, everyone's raving about it.

But I see the effects as coastal roads made the biggest difference to our life. Yeah? Yeah. When you stay in Bombay, where is home? At the Oberoi.

Okay. I still stay there in South Bombay because I grew up here. And so my father was in the Navy.

So we were in Navy Nagar. And then when I started my first job at Morgan Stanley, I used to stay at Cuff Parade. And so even though the center has moved much more towards Bandra, BKC, Bandra, but somehow I still feel more rooted when I'm in that part of town.

Maybe we can start there. Actually, I've never asked you the origin story. How did you begin? Where were you born? I know you just said your dad was in the Navy, but what else? So because of that, what happened was that we had a very nomadic existence, which is that every two years, my father would be transferred.

And because he'd be transferred, we would go along wherever he went. So I was born in

Wellington, coming up in terms of I was speaking with my, you know, with our friend, Neil Kenny, who was like, telling me about how they spend a lot of time there now. Yeah.

And I need to go back and revisit Coonoor. So Nandan, Kiran, Geetanjali, Premji, I think they've all bought houses in Coonoor. Yeah.

And Nandan's house actually is the place where, who's the guy who came up with the Turing test? Was it Alan Turing or something like that? Yeah. Yeah. So his parents lived in Nandan's house in Coonoor.

And they actually go there a lot, Nandan and Kiran and all, they keep sharing stories about the Coonoor club. So me and Kiran live in the same apartment complex in Bangalore. And me, Nandan and Kiran, we all tend to catch up once every month or once every two months.

It's like a Bangalore group. Yeah, I know. So like, it's become a complete outpost for the Bangalore club.

But so I was born there. There's a military kind of town there called Wellington, which is right next to Coonoor. It's part of Coonoor for practical purposes.

And so my father was posted there and I was born there. I don't have much memory of obviously, when I was born, I don't have memory. But then he got transferred again there in the Defence College when I was four and five years old.

So I've got some memories of that. Growing up there, going to the Wellington club, seeing him play golf and like those were the days. So then, as I said, every two years we shifted.

So I had a nomadic existence. And so it was very difficult to make friends, right? Because you were always the sort of outsider in the school. Yeah, so as I said, my father was also transferred to Singapore where he was the Defence Advisor in the Indian High Commission.

So I spent my... How does that happen? Army to... Yeah, he was in the Navy. So what happens is that there's many high commissions and embassies around the world. There's something called a Defence Attaché, which is part of the Indian High Commission.

You are a so-called diplomat, but you actually come from the Navy or the Army or the Air Force, depending like in terms of, you know, which service has that. So that's how he was posted there. And I was there for... We were there for three years, 7th, 8th, 9th grade, I did there.

And I was at UWC, United World College back then and stuff. And that was a very important time for me, I thought, because apart from formative years, it was also a very global place. Like I grew up there.

Yeah, this was... I'm talking about the mid to late 1980s. And Singapore was really booming

there, it was emerging as this very successful financial centre around the world. What era was this? This was... Lee Kuan Yew was the Prime Minister, like... But he was the Prime Minister for 27 years or something.

Yeah, so one of the longest serving Prime Ministers in the world. But this was like Singapore just at, you know, like in terms of really booming. And more than that, the schools I went to were very global in nature.

So in the 8th and 9th standard, you're very aware of what was happening in the rest of the world. Because the students would come, they would come from different parts of the world. So very aware about what's going on.

I remember, like even things like the 1987 stock market crash. Right. That... How old are you, Rochin? I'm currently 51.

But when that crash happened, I was 87. Right. So I was 13 years old.

Right. But I have memories of that crash. Just because in school and stuff, it was actually by some of the senior people at school, you could hear the discussion.

So it was a very global sort of environment. So you've seen India's socialism in a way, growing up. Yeah.

So I saw India's socialism in the... And the contrast with Singapore was really remarkable. Because Singapore was going the opposite way, which was that it was giving its people as much economic freedom as possible. And it was developing very rapidly.

In a very communist manner though, right? No. I won't say communist, but some people would say authoritarian. Which is the fact that it didn't have... That some people would say, it wasn't a true democracy.

It was a one party system where they had elections. But... Isn't it still largely like that? Yeah. But it's like changed a bit.

I mean, there's been more sort of political freedom compared to what it was in the 1980s. But that model is very much the Singaporean model, in terms of the fact that even as they've become a rich nation, they are still largely governed the same way. So anyway, so Singapore was there.

But it was a shining example of economic success already by the 80s. And as you said, it was a big contrast. So you know, this word communist, I think is wrongly used, like sometimes, because even China, we think of communist, right? Which it is from a political standpoint.

But from an economic standpoint, China and Singapore, especially then, were far more free than India. Is that because foreign investment and privatization was not allowed here like it was there?

Or what was it? Yeah. So much more, much more freedom for foreign capital to do what you want, and also for people to do what you want.

I think that this is one of the things that for me, what does capitalism mean? And what is the difference between capitalism and other forms? For me, capitalism is about giving people as much economic freedom as possible. So Singapore was doing that. China, in fact, had already started doing that.

India was still very much a socialist country. The first sign of opening up in India happened, in fact, in the early 1980s. You know, people usually associate India's opening up in 1991, right, when the big reforms took place with Narasimha Rao, Manmohan Singh.

But there was also a phase in the 80s when the first phase of opening up in India happened. The peak of Indian socialism was 1970s, when everything was virtually controlled by the government. And then India ran into a financial crisis in the early 1980s.

And under partly the pressure from the IMF, India began to gradually open up. But yeah, the 1990s was when the real opening happened. But Singapore, China were well on their way of becoming more economically free countries.

And Singapore was already a big success story. Right. When you look at China or Singapore today and you compare them to India of today, what do you think is working for them that we could incorporate? I'm not sure our democracy can incorporate this.

Like about China, I say that once again, we think of China so much as a command and control economy. Like, as you said, possibly communist, but a very command and control economy. As far as China is concerned, like we forget some basic stuff about China.

For example, in the 1990s, this is one thing which I find very fascinating. China fired 90 million people from its state-owned enterprises, you know, like fired. And they told their people, there's no welfare state, you do what you want, go find a job wherever you have.

And a lot of people lost their jobs, but they all went, they all migrated much more towards the coastal cities, because that's where the big growth was happening naturally, because that's where the exports happened, the manufacturing exports all happened there. So they all moved towards the coastal cities. But can you imagine that China firing 90 million people from its state-owned enterprises? What era was this? This 1990s.

There's no way that we could do something like that. And also opening up Singapore, so much open to trade, no tariffs, no protectionism, just make the country and the people ruthlessly competitive. So a lot of what we can learn is that how do you sort of promote this kind of almost ruthless competition, which may appear to be heartless at some level, but also is something which is at the core of capitalism and, and it promotes very high economic growth and

development.

So I think that that's what Singapore and China did, much of East Asia did that. So that's the contrast with India, like India gave its people lots of political freedom that you can vote and the way you want and you have democracy. These countries did not give their people much political freedom, but they gave their people much more economic freedom compared to India.

So I think this was the big contrast between these countries. And even arguably today, that is still the case. I was watching this interview between Tucker Carlson and a Chinese lady.

Very interesting. She was speaking for Deng Xiaoping and she said the manner in which he, he bought 500 million people out of poverty in a way, given the same, this is a bit controversial, but she was saying, if one were to give Mother Teresa the same amount of money, most of those 500 million people would still be in deep abject poverty in a way. Do you think that kind of a model of welfarism is bad for a country like India? I think that if you look around the world, and this is something which I've seen, that creating a welfare state prematurely can be one of the biggest mistakes any developing country can make.

And you can see this, Latin America did that. Latin America, you know, like all these countries, for example, the 1960s, Korea, India, Brazil, they all had similar per capita income, which means that they were similarly rich or poor, whichever way you want to look at it. But then Korea really took off, Brazil kept on stagnating, and India took a very long time to get going.

But the biggest mistakes that I think that Brazil made, and this is my point, that creating a welfare state prematurely, where the state just spends on, you know, people by giving them freebies and giving them a lot of subsidies and stuff, I think is a mistake, whereas the way that growth is created is by creating the infrastructure, that you create the infrastructure and then let people thrive and do what they want with that infrastructure, which means build the roads, build the ports, build the, you know, highways and stuff. So that's what the East Asian model was, no welfare state to start with, spend whatever the government spent on, it spent on building infrastructure. And then you create the welfare state later, which is that once you have enough money and people have enough, you know, sort of income, then to cushion them in the hard times, you create a welfare state.

And that was also something which happened in the West as well, that if you look at America or UK and stuff, they followed what we call the Dicksonian form of capitalism after Charles Dickens, all the books we read as kids and stuff of Oliver Stone and all these things, it showed what the abject poverty used to be at one level and how the rich used to really sort of rule. So are we there yet? Have we reached that point, India as a country? I think that India has always sort of the risk that that why India will never achieve a growth rate like China of 9 or 10%, you know, like, in terms of, I think all now reconcile to the fact that we are a 6% type economy, the ambition of growing at 9-10%, I think doesn't even exist anymore. And partly it's because of the recognition

that in a country like India, our society or whether it's our politics or what, is never going to ever allow that sort of runaway growth to take place, which requires very little welfare and any government spending on infrastructure and also very little protection from, you know, what's happening internationally, like you allow foreign capital to come, you don't have much of tariffs and stuff like that.

I think it's very difficult in this country to have that sort of model. So that's the reason why India is unlikely to ever grow at 9-10% on a sustained basis, which East Asia did, and why we are now reconciled to growing at 6%, that type of growth rate is what we are sort of seems to be what we are comfortable with. When you look back at things like customs duty or tariffs, back in the day when, say, the British had the industrial revolution originating from Birmingham, the reason why things like that could happen is for a short period of time, they blocked out external economies so domestic industry could thrive.

Right. Now, if we were to remove that and make it a fully free market and a Chinese product and an American car can compete here, will that allow for domestic industry to thrive? Or should we go by the Birmingham model and kind of lock things away for a while, allow for domestic innovation to come about and then open things again? But we tried that. We tried that in the 1960s.

We tried that in the 1970s. It was called something called import substitution, which is exactly what you're referring to. And it didn't work.

It left us very uncompetitive. Why did it work there? In where? Like in the UK, for example. Well, I'm not that familiar with the example that you're citing, but my best guess is that, I mean, if you look at the long history of development, like I studied, that those economies also never were able to grow at eight, nine percent.

This model of growing at eight, nine percent a year is very much an East Asian economic model. Before that, there were very little examples of countries growing at that pace. So we can, as I said, that those countries, you know, like in terms of I'm not that familiar with, but I've studied East Asia deeply, right.

And I've studied in terms of what these countries did. And I think that these countries were much more about allowing for competition and allowing for, you know, very little duties and stuff. And of course, the state played some role, which is that they sort of, you know, favored some industries and and didn't favor others and and all that, but was largely giving people lots of economic freedom.

So I think that but the more important point as I make here is that the more which is less discussed is that they had no welfare state. Right. That, I think, is a very important point because it appears very ruthless and heartless to say this, that there's no welfare state.

I would like people obviously like to get welfare, but only that much money the government can spend. And are you better off spending that money on creating infrastructure, which as that Chinese example, you said that, you know, that's what helps create growth in the future. Or if you give people a lot of freebies and other stuff in terms of that sort of doesn't enable them to go out and earn income so much on their own or create wealth over a period of time.

That's the difference. I've heard you say earlier that there is no real social mobility in society, not just in India, but across the world. And whatever research I could have done on that or whatever I have read about it historically, people say that the surnames, for example, of rich British folk a thousand years ago, if you were to see how well they're doing today, they're still in the affluent section of society.

So barring social mobility in a pragmatic sense in society, if not for welfare and subsidies, what happens to society at large? No, but the point that you're referring to, which is what I wrote in my latest book, What Went Wrong with Capitalism, is that social and economic mobility in Western societies has declined in the last 30 to 40 years. So it's not as if it was never there, you had, but that's declined. And that is one of the main reasons why so many people in the West today are very unhappy in general with their life, because they find that it's very difficult for them to move up the ladder the way that they could, like in America, for example, like as I've cited some of the latest work, that only about 30 to 40 percent of Americans today feel that they can have a better life than their parents.

But back in the 50s and 60s, when the American dream was really shining, every American thought, at least 70 to 80 percent of Americans thought that they could have a better life than their parents. You also made a case for no homeownership as one of the reasons why they are so unhappy, especially the youth in America. Yeah.

But do you think that's true also for India? Do you think there is, if you were to ask an average Indian if they will do better off than their parents, would they say not today? And do you think social mobility is lesser here or more here? I think more here now. You know, in terms of, I think that in India, the aspiration levels have increased. I think that any of us who have a memory of what the 1970s, 80s or even, you know, like even 20, 30 years ago, I think most of us will feel the India of today, at least from an economic perspective, is better than the India of 20, 30, 40 years ago.

In the West, it's gone the other way, that there's a much greater longing for what society and what the economies used to be. So I think there's a big difference between emerging markets and in some of the developed countries here. And this is also shows up in the politics, because what's happened is that the politics has inverted as well, that if you look at the Western countries today, most governments lose election there, whereas in emerging markets, in developing countries of late, most incumbents are winning their elections, which is a big difference that's happened, used to be the other way around, which is that in the Western countries, most incumbents, because if

you're already in the company of the advantage, if you already people know you, you have the media and other access and stuff, then you're a natural advantage to win.

Now it's gone the other way. And in many emerging markets, including India, it's become now much more like in terms of the incumbent is not going to be thrown out like the way they used to be. That's a big change that's happened in society, which shows up in politics too.

Do you think India is an outlier there? Because when I think of our neighbours all around us, be it a Pakistan, Sri Lanka, Maldives, Bangladesh, Nepal, they seem to have anti-incumbency, they have cyclically changing, very quickly changing leaders. Yeah, but I'm saying I'm, I'm looking at, you know, a much greater canvas of emerging markets here, because these countries, to be honest, you know, like, aren't that economically significant. But if you look at around the world, from Indonesia, to Brazil, to other countries, you find, even Mexico and stuff, you find that the incumbent in general, the chance of the incumbent winning has now gone up by more than 50%.

In India, it's possibly still 50-50, or, you know, depending how you look at the data, whereas in India's case, if you look at it, the word anti-incumbency was in fact coined in India from what I know. You know, like, my sophologist friends, Pranoy Roy and Dorab Sopariwala, with whom I travel on election trips, I think that they are the people who coined this term. I read that book of yours, brilliant by the way.

Yeah, Democracy on the Road. So they're the people I think who coined this term, anti-incumbency. Because this term, I remember when I first started writing about this term anti-incumbency, my editors in the Western media, such as the New York Times and stuff, they would like actually ask me, what is this term? They were not familiar with it 10-20 years ago.

And now, of course, like everyone talks about anti-incumbency, but this term, I think was coined back in India. You know, I come from the world of investing in stock markets fully. I think you're from that world, but I don't know if you're a writer first or an investor first.

I've heard you say somewhere that one pays for it and the other is the creative outlet for it. Yeah, I think I've said in the past that I invest for the dough, I write for the show, because writing, as you know, is great, but 99% of writers would agree that doesn't really make too much money. Maybe not in this cycle, but maybe it will in the next.

Traditional psychology says that Southeast Asians or Asians in general, when it rains for five days, expect it not to rain on the sixth, because it has rained for five days. The Western economies on the other side, if it rains for five, will presume that it will rain on the sixth. I think culturally, we are very different like that.

Do you think that plays a role in anti-incumbency and why the emerging economies of Asia are eventually going to bet that the leader at the helm will change? I think there's some cultural aspect, but I think that's more true of East Asia. Because in Latin America, Africa and all that, the

culture is very different. So I think at a culture level, it's hard to make a distinction between emerging and developed countries.

I think it's very region specific. I think that you're right that in East Asia, people in general tend to be much more reverential towards the leaders. And I see it at the workplace and stuff like that.

It's much more of a reverential culture. Whereas in India, I think it's less so, but there's some in the middle. And in the West, it's very different in terms of that there's much more questioning of what the leader does.

So that's true. But as I said, in the West, ironically, the incumbent used to mostly win elections. In fact, even in America, they introduced term limits.

After FDR had won, I think, four elections in a row or something like that. And generally, if you look at the House, the Senate in America, right up until the last 10-20 years, from the data that I remember, 70-80% of person who stood for re-election would end up winning. But that has changed dramatically in the last 10-20 years.

In fact, when Trump won, one of the things that people asked me that, you know, like, I said, yeah, but you have to understand two things. One, that this is the first time in America's history, at least the last 200 years that I know of, that the incumbent party in the White House lost three times in a row, right? In terms of that, that's not that's not happened before in America, in fact, for 200 years or so. And then, so people ask me that, you know, what will happen in the next election? The midterm elections are coming and stuff.

I have no predictive power, but I can simply say that if I just follow the pattern, I think the Democrats have a good chance of winning. Just because, not because of any other reason, but look at what happened in the New York mayoral election, that Mamdani, you know, is like, won and is all set to win. Mamdani's rise is also interesting because it's sort of two people are rising here, which is Trump here, Mamdani, the politics appears very different.

But I think the main root of the rise of both is an anti-incumbency feeling, that we just want to sort of, you know, go with someone who's anti-establishment. And Mamdani was able to, I think, capture that vote very well, that anti-establishment, because in the primaries that he was standing with, all these establishment figures, Andrew Cuomo, and people are like fed up with establishment figures. And in a strange way, Trump could be perceived as establishment in New York.

He could be perceived establishment four years, whatever, three years from now. He could be the establishment. Yeah.

So I think that's the... Also three years prior? If you're in New York, you're seeing Trump, Trump everywhere, right? Yeah, but I'm saying the New York politics is very different because in

America, you know, the Republicans just tend to be very Democrat leaning. So that's different. But I'm just trying to say that, that he lost the election in 2020.

And it's possible that the next time that the Republicans, if this anti-incumbency follows, I think that they could lose the midterm elections and maybe they'll be at a disadvantage even when the presidential election takes place, just based on the pattern. And this is true across the West as well. Look at UK, look at France, look at Germany.

Now, you know, like approval ratings everywhere are very low. People are like, just throw the bums out. They're dissatisfied in terms of what's going on.

And I don't see that same level of anger and resentment in emerging markets. Right. To put like a pin on the social mobility thing, because I think it's very important.

So social mobility, when we are speaking about it, is somebody who is not privileged climbing up the economic ladder. Right. There's a very interesting concept around this.

It's called the Great Gatsby Curve, where the author explains it in a manner that the more the income inequality in a society, the more the people in that society believe in meritocracy. Do you see that at play? Yeah, I think so. I think that's true.

Why is that? That seems very counterintuitive, right? See, capitalism is not about equal outcomes. You will not get equal outcomes in capitalism, but you have to have a feeling of equal opportunity. Right.

And there's a very key distinction between this that they should feel you have an opportunity. Outcomes will be unequal because capitalism, by definition, is going to favor those who are supposed to be more meritocratic and and stuff. So it will naturally tend towards inequality.

But the issue is that can you feel that I have a chance, despite coming from a not a great background, of making it in this country or not? And the great thing about America was, and that's what attracted even people like me there, that you felt that you could get there. And regardless of your background, you had a shot. But that's ironic because education is not really democratic in America.

So it's not equal opportunity if education is as expensive as it is there. Right. It's become like that over time.

That's one of the reasons the grievance of people is because over time, these gaps have increased a lot more, you know, where you feel that you can't, that social mobility is going on, because you can't move from one city to another that easily as you like used to be able to move. So I think that these are trends which have progressed over time. Now you're getting to the point about what's the root of the anger in America? Why are so many people unhappy with what the system at place is? Because of these trends that have played out over time.

Will our visas get cancelled if we say why Americans are unhappy? I hope not. Because I mean, in terms of, yeah, exactly. So, but I'm not sure we've gone that bad as yet in America.

Is there a line? For? Crossing the line to have your visa revoked? I don't, I'm so far told that the line is, you know, like only if it's perceived as being, you know, anti-Semitic or in terms of very, I've not heard that all because you criticize the American system as such. Not anti-establishment. No, I don't think so.

At least so far, and we have to keep using the caveat here so far, that there's no evidence of that. Yeah, I've been there most of the last three months. Right.

And so many of the young people have been meeting at college and Stanford and all these colleges are also worried about what happens to their visa in one year from now. Right. It's a big thing.

It's like a talking point. No, it's not. And you've seen a collapse in that.

Because if you look at the net immigration into America, the net numbers for much of the last decade, like, like used to be about a million people, right? Million people coming into America. Then what happened was that after the pandemic, and because the Biden administration was supposed to really lose towards immigration, that number jumped to two or three million people a year of people coming in. That's what really set the tone for this big backlash.

This year, I'm told that number is likely to drop to less than half a million. So it's a dramatic drop off in net immigration happening in America. And I think that that or that in the long term, that's very damaging also for the country, because when you look at the past 30 years or so, right, I mean, everyone's spoken about America's growth rate being much superior to Europe, to Japan, like everyone talks about, you know, because America's got technology, Silicon Valley, the whole tech ecosystem, how great it is, the economic dynamism and stuff.

But the really underappreciated part of the demographic advantage America had, that because partly because of immigration, America's population growth rate was much faster than Europe and Japan. So if you adjust it for per capita income, yes, the gap is there, but it's not as pronounced. But the moment you sort of, in terms of take out immigration, then the gap between America's growth rate and Europe and Japan really begins to shrink.

So to close the social mobility topic, no welfare, no subsidies, equal opportunity in education, would you say? Would you put it that way? Do you think education is getting democratized by virtue of things like what we're doing? Now, this will be available freely online somewhere. Yeah. Your books don't cost a lot.

I'm sure free PDFs of them are available wherever one might want to seek them. What else

needs to change to have increased social mobility in our communities? No, as I said that in terms of the fact that also I feel the single most important thing is less government bailouts and intervention. Yeah.

And this has been a big sort of, you know, point of mind. Not so much in India, right? Yeah, not so much in India, but even in India, in terms of that the government should not be bailing out private sector companies and should sort of, you know, keep, because I think that that creates an impression that the government is favoring the incumbent. Because after all, if companies are failing, it's, you know, in terms of the fact that they tend to be incumbents.

And the moment you do that, then you're preventing new companies from entering. So I think that, like, it's very critical that any government, including in India, does not bail out private sector companies. And also the fact that government, you know, like favoring a few companies for whatever reason, I think, leads to less economic and social mobility, because then you sort of, you know, like the average person feels, even in India, there is like a feeling that some of the big conglomerates are capturing too much of the economic share in India.

Businesses don't talk about this openly, but you speak to a lot of people, there is a feeling. And it's partly because of the regulatory environment, which is the fact that, like, mid to small size companies often say we are better off selling, you know, to these big companies who can manage all this tough regulatory environment, it's tough for me to negotiate this directly. So what will help is deregulation, right? That if you have a lot of deregulation, then you are allowing more companies to come up on their own.

But the more regulation you have, the worse it is, because then the big companies are able to game the system, they can write the regulation, like in the way they favor it. And also because then it costs so much to negotiate this regulatory environment, that a small and mid-sized company or a small and mid-sized business person, they find very difficult to do that. I've heard you make a case in America that there are 3000 new regulations that come about.

What do you think, yeah, only 20 have been removed in the last 20 years, yes. What do you think the case is in India for regulation and deregulation? I think that the case is the fact that everyone wants to regulate because you believe that, you know, you want to keep out the bad actors and you want to favor this. But every time a policymaker introduces a new regulation, remember that regulation by definition tends to be pro-incumbent.

Whoever the person in power or the company which is already established, regulation 90 percent of the time favors those people. So I think that is the very fundamental principle that has to be behind policymaking, that if you do regulation, you are favoring the incumbent. And by doing that, you're disadvantaging the new people who want to come into the system.

Either directly or indirectly by taking the margins of that business down. No, in terms of the fact that, as I said, that because, yeah, that the new companies or let's say like the small, mid-sized

companies, they find it much more difficult to deal with the regulatory environment compared to the big companies. At two levels, one, the cost of complying with regulations.

Right, that's a big burden. And two is the fact that the big companies, they're able to lobby and get bills written and other rules written in a way that favors them. Which the small, mid-sized business people cannot do.

Okay, fair point. You saw the recent regulation on real money gaming in India. What are your thoughts on that? I'm not sure because, you know, like I have mixed views because I know that there's, like in terms of, I'm for deregulation as much as possible.

But there, there is a bit of an issue coming about, you know, what it's doing for, in terms of what it's doing for the mind space of the young generation and stuff. But generally, I'm not in favor of regulation because I just feel that 90% of the time it kills entrepreneurship, it undermines the rise of new things. So, and I don't have specific views on, on one thing.

I'm a bit distant from that. But I would say that my gut on these things is that every time I've seen regulation come in, I think it's been bad for the country. Fosters the black economy in a way.

Yeah, that's one aspect. As what I said, it's, it also undermines the spirit of the mid to small-sized business person. Right.

When I was in the US, I met the founders of Kalshi and Polymarket. They're both prediction markets, one on the blockchain and one fiat currency. One is peer to peer, the other charges a rake per transaction.

I think even in the US, the same holds good where they're regulating Kalshi but not Polymarket. When we speak about regulation, if I were to come into something like crypto, blockchain, stable coins in India, I've been doing a bit of research on it. The big hindrance today, let's say for very obvious reasons in the world of today, we don't want a stable coin, which is backed by the US dollar.

If somebody from India were to be starting one, we would need something which is the the collateral is maybe a combination of gold and Indian rupee, but we have fiscal controls in the country, capital controls where there's a certain amount of money that can go out, come in. It's fairly regulated. The big hindrance seems to be the 1% tax deduction at source for any kind of crypto or stable coin in India.

Do you have a view on the crypto, stable coin, blockchain world per se? And do you think we as a country are regulating ourselves out of a market which can be really big tomorrow? Yeah, I think that this market now has taken off. Now, of course, you know, as I said, that my definition of a bubble is a good idea gone too far, been quite optimistic on Bitcoin and the whole crypto universe, but Bitcoin in particular, just thinking the fact that this over dependence on the US dollar

has to end and you need alternatives to emerge. In terms of that, that's, that's been my thinking for a while.

I agree with you, but why not gold or something like that? Yeah, so gold's there. Yeah. So both assets have done well, but gold at the end of the day is like still a bulky asset in terms of that.

Right? Not a digital contract of gold. Yeah, but no, but somewhere it has to be backed by actual gold production, right? Yeah. But if you were to say the cost of insuring vaulting gold is maybe in India, I know the prices, maybe the actual cost is about 30 bips.

At scale, it would be even lower. That is lower than managing cryptocurrencies in a way. Yeah.

But to do transactions in gold, etc. is still very difficult in terms of that. I wonder why though.

Well, we haven't seen it as yet. I mean, this is, remember gold's been around for thousands of years. Yeah.

And people did transact. People did transact, but I'm not, but I think that the crypto is a more advanced way of doing it. And in a way the world did transact in gold until Nixon removed the gold standard.

Well, it was there in terms of like it was there as the backing, but not on a daily transaction basis, which is, you know, people didn't exactly go to shops and use gold bars and stuff. Now, as far as crypto is concerned, its usage so far is still very limited for transaction use. Right.

It's increased much more now for as an asset class for people to, you know, store value in terms of that. And I think that it is here to stay. I think that debate is over now, that crypto is here to stay.

You think so? Yeah. I think Bitcoin is here to stay. Crypto is here to stay.

This has lasted long enough. It's getting mainstream, whether it's banks or asset management firms who told you five years ago, we'll never touch this thing. Have you got an allocation? No, unfortunately, like I've always chased the price, which is that I kept thinking it's getting too high.

It's getting too high. It's down last few days. Barely.

But I started writing about this in 2020. I remember, and you know, when the price was 20,000 or something like that, or barely that much. I think now it's 110.

And it's exactly. So like, like it's gone up and that this is one of those issues. And I think as an investor, you know, that one of the biggest mistakes we often make is we don't put our money where our mouth is.

Yeah. That we sort of speak about something. Yeah.

I must do it. And you know, but we try to get too cute on value. Yeah.

Or maybe it's like, I'm going to wait, I'm going to wait. Yeah. And then the damn thing runs away from you.

Yeah. So I think that that's been one of the mistakes, in terms of it, I can count endless investing mistakes. Yeah.

But at least from a writing, I've been on record to talk about my general feeling that this is here to stay. And as I, the last piece I wrote about this, I'd set two chairs for the Bitcoin bulls, which is the fact that, that they've been broadly correct in that this trend has been here to stay. And that now it's getting more accepted as an asset class, where they've been wrong is that as a, in terms of transactions as yet, it's not being used.

Yeah. But the hope there is that, you know, someone had done the numbers on this, there were 15 to 20% of the global economy, the so called underground informal economy. And in that part, which we can't measure properly, the usage has increased.

I know that Trump is really pro, but I can't find an argument how a sovereign country with a government which controls the fiat currency of saving and transaction benefits from something which is free and outside their control. Absolutely correct. So they're trying now the best to promote stable coins as well.

Right. You know, because they realize that, I think this is one of those points which people find hard to grasp that what is the advantage America has today, right? Because the fact that it has what's called the world's reserve currency, which means that the US dollar is there and it has that power over the US dollar. What advantage does that give to America? That because the dollar has to be used in so many transactions, a lot of countries end up holding US dollars.

And because they hold up US dollars, what is US dollars they're holding? They're holding US debt in a way. And that lowers America's borrowing cost. Some estimates suggest somewhere between 50 to 100 basis points, half a percent to one percent of annual borrowing costs are possibly lower because of the fact that America has the world's reserve currency.

I would argue it's much higher. This is about the academic work. Like, let's say if the treasury bills are at four and a half percent, let's say, ballpark today, I would say if they were not the reserve currency, I'm just thinking as a Japanese guy, a Chinese guy or an Indian guy, why would I be buying their debt at four and a half, five percent or six and a half percent? Yeah, if it was not the reserve currency, and I didn't have to.

Yeah, so but I'm saying that, you know, because there are other advantages America has, right? I mean, today, why is it? In terms of, you know, that they have no capital controls, you can take money in and out of, you know, when you feel like it. And also the attraction of the underlying

economy, you know, which is still there. It's still 26 percent of the global economy.

And and even today, despite all that Trump is doing in terms of which appears to be damaging the tariffs and, you know, like undermining the independence of the Fed, why is so much capital still flowing to America? It's not just because of the interest rates in debt, because of the entire AI mania, which is that people think that the only country which can build this AI infrastructure, which is now the, you know, like the hottest new thing is America. So it's because of the dynamism of the economy and other advantages that America has, that you're still seeing so much capital flow into America. So I would say that, I mean, you're right that the debt, there's no reason for you to hold debt if it weren't for, if it weren't for the world's reserve currency.

Especially with their ability to sanction that they exercised recently. Yeah, that's right. So that started the process where people are looking for alternatives.

That was a big, in fact, flip for gold and for and for Bitcoin and stuff. The moment America sanctioned Russia back in the spring of 2022. It seems serendipitous that they would coincide with the tariff time because they both seem like net net move away from America at the same time.

Do you think tariffs are good, net net? Are they only reciprocating what other countries have done to them for a long time? Or is there a case to be made for why it could be good for them? Well, I think that there are two points here. One is the fact that if they had done strictly reciprocal tariffs, firstly, we don't know what science is behind this, right? I mean, in terms of the fact that generally from a pure economic perspective, tariffs aren't great. There's so much economic theory to back that up.

Now, you can argue that all economic theory is wrong, but all the economic theory says that free trade benefits countries the most. And that's the system we've had in place for the last 50 odd years or so. You know, so why shouldn't like in terms of it has helped many countries develop very rapidly because of the lack of tariffs.

But does it also benefit the incumbents more than it does the emerging players, free trade? No, but I'm because if you look at the world in terms of it. If the manufacturing base, say, got set up in China and they're producing 500 million TVs, as long as free trade continues, nobody can match the cost efficiencies that producing 500 million TVs brings to them. And they continue to scale and the other countries can't catch up.

No, but this has changed over time, right? Because historically, yes. Yeah. First it was Japan.

Then it was Korea, Taiwan, you know, like and these other economies. And then it became China. So this thing has changed over time.

It's not been as if this has all been like China's advantage for very long. China's export share has

gradually increased over time. Thank you.

So this is not as if China was always like the dominant player here. Right. This is so.

Do you think they did the reverse of a tariff and they artificially subsidized many things in the country to arrive at this position and displace Japan from where they sat? There's a bit of element of that, that they did that. But as I said, that so many other countries have in East Asia did this. Korea, Taiwan, other countries that just to say that was the big factor.

Then, you know, we look at what they did in Latin America and Africa. Also, they tried similar strategies, which is of trying to have protectionism, trying to give like the government telling you, you know, what what's called industrial policy. And that did not work in these countries.

So China may have done that, but they did lots of other things also. Right. In terms of about building a great manufacturing sector, how do you do that? And even people like in the 1990s would go to China and would be dazzled by the level, by the kind of infrastructure that they'd created.

Right. The highways, the ports and everything. All this is something which has happened.

So this is one element of it. But I'm saying that it's not a one factor model, because if this was the only factor, then every country would follow it. And they tried.

Latin America, Africa, they all tried this about how do you, you know, like close your self to trade. And Brazil is, you know, still sort of trying it. And it doesn't work.

Right. So if that's the only way to grow, is that you sort of promote domestic growth by shutting yourself from the rest of the world. Show me one country which has benefited from that in the world historically.

I don't know of any such country. So what did China do different? As I said, that what China did was that it that it built this massive infrastructure so that it became very easy to like ship goods out of the country. And also in terms of its people.

It just told people that you go and find a job wherever you want. We are not, the state is not going to in terms of giving you support to remain on the farm. Right.

So you go find whatever you want. Now, in India's case, the politics is very different here. In fact, you know, like now it's become a routine thing that this thing like Manrega and stuff, right, which is what the rural employment guarantee scheme.

Now, the way that it functions is and you can argue that it's very, you know, that it's maybe the right thing for India to do given its democratic setup and the polity here. But they, like in China's case, didn't have any Manrega and things. They just told their people that if you can't make

enough money on the farm, go to the city, find a job, join whatever manufacturing sector you have to and produce whatever you have to.

So there's a very ruthless form of capitalism. In fact, you can argue that they followed. Which worked.

Which worked, exactly. And we don't have the capacity to do that. And therefore, we never grow at a rate of more than 6% on a sustained basis has been my view for a very long period of time.

Which is not probably enough because of our base. Yeah, our per capita income is, you know, barely $3,000. Yeah.

And they say if you remove the richest 1000 people, their number drops significantly. Which is true for any country, by the way. It's not just our thing.

It's true. But generally, I'm trying to say that is that if we want that, why can we not grow further than that is because of this reason. This is the number one reason, I would say.

Right. To increase social mobility, focus on equal opportunities, not equal outcomes, no bailouts, democratize education, no welfare state, no subsidies. Yeah.

I've written down home prices need to somehow become affordable. How does that happen? By just allowing supply. Because what's happened in the West and other places is that the supply of homes is very limited because of regulation and other things.

Very difficult to construct new places like homes. And you face massive amount of also in terms of... Do you think that's why homes are not affordable? Because of regulation curtailing supply? In the West, for sure. In India? In India, I think it's a bit more complex because but I think that in terms of that, like, that home affordability in India, I know that anyone hearing this will say that, you know, like, the homes are expensive.

But if you look at many metrics in India, like in terms of it's not as expensive relative to income as you find in some of the other countries in like in the world that I go to. So it's true that, yes, that in India, in terms of also but regulation in the West, for sure, has been the single biggest reason why homes have become so unaffordable because there's no supply. In fact, there's one stat that someone told me about when the last private equity firms, in fact, that the number of new homes that America builds today is the same as a year is the same as it was in the 1950s and 60s.

Even though the population is 50% higher, it's impossible to get proper, you know, like permits and and once you build a home, then you have to face so much legal challenges if something goes wrong and stuff. So the supply of homes being limited is, I'd say, the leading reason for why homes have become unaffordable. Okay, I'll add deregulation to it.

Home prices need to be affordable. Maybe via deregulation or other means for India. What else

to increase social mobility? Would you make a case for something like property taxes? I don't see how property taxes because, you know, would increase.

I know some people would also talk about inheritance tax and stuff. As I said that these have been tried in other countries and hasn't really worked. And property tax, I mean, I've seen work on inheritance tax, but I'm not sure how property tax would increase social mobility.

I've not seen any work to back that up. For large property holders, I'm making an extrapolation thinking, okay, we used to have a big black money economy. A lot has been done to curtail it.

A lot of the black money is sitting in property. Government has finite revenues today. How do you increase revenue to work on the other stuff? Maybe property tax? Yeah, I mean, I doubt if in a country like India, they said in India, the success of having more taxes is really counterproductive.

Even today in India, most people would sort of agree that just complying with tax is still a big challenge here. Don't you think we're at about average now? Tax to GDP ratio is say 11-12% federal level. If you add states, it maybe goes up to 17-18%.

Yeah, that's good. That's comparable to most of the world today. In fact, I'd say for a country... After GST, it's gone up a lot.

Yeah, for a country of our per capita income, it's in fact high. Yeah. Yeah, it's higher than average.

So I think that like, we should be less focused on extracting more taxes from people. Yeah. Because for our per capita income level, at $3,000 or so, our tax to GDP ratio is pretty high.

So I'm not for... And the highest component, the fastest growing component of that is actually income taxes. Yeah. Which are going up by something like 14-15% a year.

Yeah. So if anything, there's a case for cutting taxes in India, which I think that they're thinking of doing more. That's amazing taxes.

One of the presidents had this experiment where he moved, was it Nixon? I can't remember. Or was it Reagan? Reagan. Reagan.

Yeah. He moved tax rates around and he realized that at 40% or 50% tax, there is such a big incentive to evade taxes that the next collection is lower. Yes.

He arrived at a number that 20% is ideal where people don't feel like the incentive to evade tax is high enough and they might as well just pay it. Yeah. So that should be the appropriate tax level.

Do you agree? 20%? Well, I don't know what, like the studies which have done have generally shown that in fact, a flat tax tends to be the best way to raise more taxes. You mean a flat tax where the affluent pay the same as the non-affluent? As everyone pays. And if you, in many

countries around the world, this has been tried.

But you're right that if you want to compete with East Asia and stuff, typically tax rates there, you know, for the, you know, like in Singapore and other places you go, don't tend to be that high even for the rich out there. And the compliance is pretty good. So yeah, I think like it onto something here, which is the fact that very high, like the US for example, they used to in fact have marginal tax rates of 80-90% back in the 1960s.

So did India, right? Yeah. But you know how many people paid those taxes? Even in the US, 400 people or something. So there's no way people are going to pay those level of tax.

In fact, I have a very simple philosophy here, which is that, like in the US in particular, I feel where it's gone, you know, like in the US, in places like New York, you, you end up paying a tax rate, effective tax rate. If you're in a, if you're in a reasonably affluent bracket, even, not ultra rich or whatever, reasonable, let's say, you end up paying more than 50% of your income in taxes. Now, when you're doing that, you're effectively working for the government.

Yeah, I feel the same in the world of speculation and trading in India. We as a broker end up making lesser revenue as a typical user might pay in security transaction tax, plus the transaction charge that an exchange charges, plus SEBI says, education says, all of that put together. For every one of these things, I think there is a number, there is a line.

Beyond that line, you incentivize people to go to, you know, in my case, maybe Dabba market, it's a big problem. I feel like the country has to come together to somehow curtail that industry where people are settling amongst each other, or they're betting against a local broker who's not going to the formal exchanges. It's the biggest hindrance to our business.

But I don't know what that tax number is, where there is no incentive for somebody to do that, or what that regulation line is, where we are not under-regulating nor are we over-regulating. Yeah. So it's a hard job for a government who is not doing this one thing full time.

Like, yeah, but how do they determine where that line is? Where are they over-regulating? Where are they under-regulating? Where are they over-taxing? Where are they under-taxing? Yeah, I'd say, but on regulation front, I still feel there's massive scope for deregulation still, because doing business in this country is still a very difficult thing. I mean, you know, like I know that we, I mean, if you want to set an office up here, the amount of things that you still have to do compared to like, let's say, setting up an office in some of the countries, I can tell you from personal experience, like the regulatory burden is still much greater in India than any other country that I know of. So this is still a very tough country to do business in, I feel, you know, and therefore, foreign investors are much happier piggybacking on some local person who knows how to navigate the system, rather than come greenfield and set something up.

It's much more difficult to do it. So I think that is, that is an issue. And this is from personal

experience too, I can say that.

Okay, I'm going to highlight deregulation twice, big thing to increase social mobility in the country. Yeah, in fact, you know, one of those things I know that, and I know this for a fact that when Elon Musk was set up to do Doge, yeah, in America, there was a lot of outcry about it, right? That what's he doing and stuff. Yeah.

But a number of my friends in India, including so called liberals, right, you know, who we say, who were like, really say that, yeah, India needs Doge, you know, that why can't we get Doge? And I think that, that even when I speak to some of the other people who are true, you know, free marketeers in this country, I think Doge is what, Doge is what really caught the imagination of a lot of people. So why do you think Doge was against free market capitalists? No, I'd say that Doge is very much something which I, you're for, I'm for, right? I'd say that Doge captured the imagination of a lot of people around the world. In fact, would you make a case for India to do something like that? Absolutely.

So I'd say that, you know, like, that's out of the box that Doge in terms of it now, in America, it was wrongly executed, we can argue, in terms of the fact that the way it was done, what the priority was, and it was too indiscriminate and stuff. Priority was to reduce the deficit? Priority was so called like, reduce the deficit, but you ended up sort of, you know, firing people without putting in place of a proper system to replace it. And also, it led to a lot of chaos.

Yeah, but the same problem holds true for India. Don't hold me on this number, but because I might not remember it accurately, but we spend something like 12 lakh crores a year servicing the interest on the debt we have. Yeah, so if not today, tomorrow, reducing the deficit will be a very pertinent issue even here.

Yeah. So far, like it's stabilized. I'd say like, if there's one thing that the government has done reasonably well in the last few years is that it's kept the deficit reasonably under control.

Right. So the debt to GDP, the deficit have been reasonably contained. For an hour 5%? Yeah, exactly.

At the central level, it's been generally contained. I don't think, yeah, I'm all for even lower deficit, but I don't think that that is such a big thing. But on deregulation, I still feel from doing business in India that that's a real hindrance to growth.

And the other point which I've also made is the fact that you speak about greater certainty at policy level, it's okay. But the uncertainty I think also comes because of the fact that if you look at the way that the investigative agencies, for example, I've spoken about this extensively in the past, the way that they have been let loose, I think that leads to a lot of uncertainty for many people as well, that we don't know as to what we do, you know, like when that could come knocking on our door. Now, it's very easy to say from a Puritan standpoint that if you do

everything correct, nothing will happen.

But I also find that this is an important point that the many reasons why or at least one big reason why so many people in this country are forced to do stuff which is strictly not per the law or the regulatory framework is because those laws and regulations are so onerous, that to do business in India, you almost have to beat them to be able to do anything. I think that I wish the government would look at that, that okay, fine, these people may have violated this law, or this regulation, but why are they doing it? Are they born cheats? Yeah, right. I think as some people believe, which I don't, or the fact that it is so onerous, that if you want to execute something, you have left with no choice, but to violate some regulation or some law.

I think China did this in the 90s, where people violated the law, they had heavy penalties, but then amnesty. Yeah. And the people were allowed to move on and continue on their capitalistic pursuit.

You think that's the way forward for India? Yes. But I also feel that the foreign person when they come to India, they should not feel harassed that if you end up doing something. Do you feel harassed? Which? In terms of I think there's a level of fear is there, which is that if you end up saying something, or if you end up doing something, you know that there may be consequences for you.

I think that that has become much more in India today than it used to be 20-30 years ago. I think there's been a change in that. Right.

So people are more scared today than they were 20 years ago. Yeah. In terms of expressing their opinion, for sure.

Right. That change is taking place. And so at times I wonder even how much is the leadership hearing the frank feedback? Yeah.

Whether it's from businesses, other people, people are scared to even speak their mind and tell, okay, this is what an issue is. Even if it's constructive feedback, that's... I think from the little experience I've had, at least with the people on top or the Honorable Prime Minister, I feel like they're very receptive and they want to know. Maybe the bridge, I feel like people there have so many different moving parts to manoeuvre, like we might not get the full sense of the picture because it's not one person they need to please, but a billion and a half people.

Yeah. Maybe that. But it's a good platform to put it out there as really constructive, positive things that India can change to have more social mobility, which is what we all want at the end of the day.

Yeah. Yeah. So I'd say anyway, to summarise this, I think that Doge for India is a good idea.

Doge for deregulation and changing laws. Yeah. Simplifying laws.

Yeah. No, I'd say that this can be done. The other stuff of not having a welfare state, etc., that's all theoretical.

Yeah. There's no way that's happening. Yeah.

Right. And the other thing which I feel is the fact that, now, I keep saying this, that the one thing I feel very positive about India, we tend to focus, I feel a bit more in Delhi, Bombay, on the centre, which is that what is the centre doing in terms of that? You know, what is the Modi government doing and stuff? One very big positive I feel in India is that we are a truly federal country at some level, and the real execution happens at a state level. State chief ministers in India have a lot more power than other countries that I know of, where the provinces and stuff.

And I feel that there's a very good competitive environment between states. And what the centre, if at all, and again, Prime Minister Modi used to speak about this a lot when he was the Gujarat chief minister, was the fact that how do you create a much more competitive federal system, you know, where states compete with each other? Yeah. And you see that.

Like it happens in China with mayors of different townships. Yeah, but, but in India's case, there's, there's even greater scope for that. And I think that we, yeah, we see that, like I was speaking to a leading businessman today, in fact, and what he was telling me was, you know, like, he heads a large conglomerate, that if I set up a factory in a particular state, I instantly get phone calls from five chief ministers saying, why didn't you do it in my state? Which is a good thing.

Which is great. Yeah. Right.

So in terms of the fact that I feel that's great. Yeah. And you can feel the difference in the states.

Like, so. I see that in Maharashtra, actually, with Fadnavis constantly talking about we are X trillion economy, we will be so much. Yeah.

We are equal to this country and that country. It seems to be happening, but maybe it can happen at a faster pace. Yeah.

But I think that it is happening. And there's a, like also a big state discrepancy in India. If you look at the per capita incomes, you look at performance and stuff.

And from what I hear, purely from a business perspective, is that, you know, like, for example, the biggest success story in India at a state level in the last 10, 20 years has been Karnataka. Karnataka is the state, you know, like, which has moved up the most. State where I come from.

Yeah. So in terms of the, you know, like, and it's not just Bangalore, because most people think it's Bangalore. Yeah.

I've traveled in Karnataka, I've covered elections in Karnataka, and I just see the prosperity in Karnataka in terms of when I travel out there, right. In terms of compared to any other state that I've traveled in. So.

Why is that? It's a good question, because I think that the growth has been more even with even the agricultural sector doing very well. And you can see that it's not just, you know, like, I know one third of the growth or something is just Bangalore and the surrounding areas there. Yeah.

But you see that it's, it's played very well. Do you think the IT services boom had a big part to play? Yeah, it has a positive impulse, but I think at the simultaneously, the agricultural sector also doing so well in Karnataka has been great. What I do is I maintain a rank of all the states and where they stand on their per capita income and what the movements have been over time.

Yeah. So Karnataka has seen the sharpest movement in the last 10, 20 years, in fact. Right.

And obviously the IT services has played a big role, but I'd say it's, it's been broader than that. It's not just that. On the other hand, you have states like Bihar and stuff, which have always been at the bottom for a long period of time.

There was a 10 year phase when Bihar seemed to really grow very rapidly, which was from 2005 to 2015, but it's gone back into stagnating. The other state, which is moving, you know, where the growth rates have been really surprising a lot of late has been Tamil Nadu once again, that for a while, it seemed to lose its way. It's again, come back and it's doing very well.

So I asked some business people why? And they tell me that for most part, the bureaucrats there are given a free hand to deal with it at the bureau. And the quality of the bureaucracy tends to be pretty good. That you can deal with the, the politicians may come in for some big deals or whatever, but generally the quality of decision making is very good.

Now there are some people, now this is more controversial, also tell me that the other place which seems very hunger for investment is UP, that they're seeing a, you know, like a more hunger among the UP government, like, okay, what can we do to get more growth in here? And even people like Mamata Banerjee, who are otherwise, you know, seem to be not great at development and stuff like that, even she has been sort of trying to outreach to many, you know, sort of business people that why don't you put a factory in here? And then like in terms of, and of course, you need much more than the state chief minister calling you to do that. You need the talent pool, you need the infrastructure and you need to create that. But I think that in India, what really I like is that, and you see this, like you go to places like Davos and stuff, and you see the difference in how many state chief ministers show up compared to what used to happen 5, 10, 15 years ago.

Yeah, I see more of that happening. I think it is happening. I don't know how relevant Davos is now versus it was five years ago.

I think Davos is becoming less relevant as an organization in itself, but you do see chief ministers competing there. As an example, I'm just trying to say that you're like, because that's got a history to it, that how that's changed over time. And as I travel in India, I find this competitive federalism is India's greatest strength.

And the more the centre can allow that, if Modi really wants to leave behind a legacy, I think that in terms of this is where I would say, you know, should be the real priority. This is going back to his roots, because a lot of state chief ministers today think that there's been more centralization, there's too much happening at the centre. And I think that we also pay too much attention to the centre.

But what's happening at the state level, what the state chief ministers are doing, how that dynamic is changing over time, I think is a very significant, you know, could be a very significant driver of growth in India. So you're making a case for decentralization almost. Yeah.

More power to the state, decentralization makes states actually compete. Yeah. And state chief ministers also need to do that, which is the fact, you know, for example, one thing in, you know, there is that there's still that states, many states in India as big and as populous as some of the most populous countries in the world.

Yeah. So even they need to realize about how you give more power down the chain, right? Which is the fact that nobody really knows of mayors here as well as they know of mayors in let's say, in places like America and stuff like that. Yeah.

Which means that, you know, that, yeah, the mayors are not that powerful in this country. They don't have that much power. I actually don't know the name of Bangalore's mayor.

Yeah. And even Bombay's mayor at one point in time, you know, but you won't know it today. So I think that that's what's happening, which is how do you give more power down the chain? So it's not just so it's not just the responsibility of the center to decentralize.

It's a responsibility also of the state chief ministers. What is the argument from the other side is when power gets decentralized, say to mayors and people like that, if they were to argue that that leads to crony capitalism, nepotism, more graft in society, what would you say to that? That's always the risk. But the whole issue here is the fact that why should that not happen in a centralized way as well, right? Because the more centralized the decision making, the more scope for that as well, because the person at the center then has much more power to make and possibly makes even bigger money or bigger stuff because they get to make bigger decisions.

Even here, if that happens, at least the wealth gets democratized. If it is a decision making is spread much more. You believe corruption is a bad thing? It's a cliche.

Yeah, every country faces corruption. Yeah, there's no country I go to. I was in Indonesia last

week, as I mentioned, corruption, corruption, the people talk about America lobbying is legal.

Yeah, but I think we have to put corruption in this proper perspective, which is that generally the thing is that the less poor country gets and the richer it gets, generally corruption levels tend to fall, right? So corruption is a problem globally, but you have to take it in context of what a country's per capita income is. The poorer country, the poorer tend to be the quality of institutions, and the more the corruption tends to be. So if you go to Indonesia, Nigeria, all countries with roughly similar per capita income to us, some less, some more, but roughly in the same neighborhood, corruption will be a very big issue.

Whereas if you go to some of the most richest countries in the world, Switzerland, or you know, like in the Nordic countries, you won't hear much of corruption. It's not, it's non existent, but you won't, you'll hardly hear of it. So I think that it's generally about where you stand as far as India is concerned, given a per capita income, I think that it's not as if we are much more corrupt.

It's not so bad, in my opinion. Yeah, yeah. I feel like corruption is not bad.

I mean, man at the end of the day will be selfish. Yeah, we're not born altruistic. Everybody will want to hold the commodity of the time that we live in.

And in capitalism, it's money or property or gold or whatever. I feel like corruption is a bigger detriment to society when the money is taken out of circulation, or it delays processes, as long as the process is getting expedited by virtue of corruption, and money is not getting hoarded. I mean, like if a politician takes money, which in turn he's using as a helicopter spray on to people when an election were to happen and re-dividing it in society.

I feel like that's there everywhere in the world in one form or another. It's not so bad. Right.

I feel like the bigger problem is when corruption leads to delays. I feel like we need a mechanism to go after that kind of corruption first. Yeah.

Which delays processes. Yeah. If I were to be setting up an office and some local authority is coming in the way, if I were to start a small company selling t-shirt and a tax authority is asking for a bribe, which delays the process of me starting that company by six months, that's the really bad corruption in my view.

Absolutely true. So in fact, I remember one foreign business person making a distinction to me between China and India's corruption. Saying in China, the thing is that once you pay someone off or do something, the job gets done.

In India's case, even if you do that, you don't know if the job will still get done. So it's efficient versus inefficient corruption. Yeah.

That's one way of distinguishing it as well. Yeah. I don't think, I think it'll be too utopian to

presume that corruption can go away.

Yeah. There's no country in the world, you know, like apart maybe Switzerland or something. Yeah.

But there's no country, at least no emerging market where corruption is not an issue. I feel like corruption has to be moved to the more efficient side. Yeah.

That you get efficient corruption rather than like inefficient corruption, where you don't know who to pay or what to do. And even if you pay, you don't know what the outcome will be. On social mobility again, I was talking to this very interesting old man.

I don't know how much, how old Michael Milken is now. Yes. Okay.

Near 80. Okay. There was a place where we both were staying in the same place and I was walking to my room and this old man is walking along.

So I started talking to him and we sat down and we spoke for a few hours. Very interesting guy, right? Like one of the most interesting guys in the world, junk bond trader, built that industry, went to jail, came out of jail, runs a large philanthropy practice now. So he was talking about social mobility from the lens of what has Australia gotten right? Income inequality in Australia relative to most peer economies seems to be lesser.

There seems to be some form of social mobility, which is still there. He makes a case for having an equity linked trust corpus for every child that is born. The child is made aware that he has this corpus, it keeps growing and he gets that trust fund in a way when he's 18 years old.

I don't know what the amount is in India, it could be $500 put at birth or something like that. He says that he has tested this theory a lot and he has seen that this has significant second degree impacts in society. What do you think of something like that for social mobility? Well, I haven't, you know, as I said that these are interesting ideas, but I always find, Nikhil that I need to think about these things more before I comment, right? Because I don't, all these ideas that somewhere have been tried or somewhere, you know, like, you know, like in terms of that, but you have to sort of see what the empirical evidence is.

Yeah. But intuitively, it sounds okay. But until I can test this thing, I feel very hard to comment on the fly.

Yeah, I'm just thinking like somebody in a tier three town in Uttar Pradesh, for example, knowing that there is 50,000 rupees of cash, which is earning 11, 12, 13, whatever the stock markets in India have returned in the last decade, yielding that much for him every year and that pie is accumulating that rate of return and becoming bigger. I feel like the question is, does his outlook of life change drastically enough versus somebody who has nothing to fall back on? Yeah, it could be, as I said, but as I said that, again, like, I've not seen this tried in East Asia or some

other place, which have done pretty well. So, yeah, I think we have to go back and look at, you know, what the impact will be, or does this end up sort of disincentivizing people from working harder? I just have to sort of test this, you know, like this out.

And when I'm thinking of this, I'm thinking of it as a subsidy replacement. Yeah, you remove one kind of subsidy and replace it with this. Yeah, that's right.

Do you think the world is moving in the universal basic income direction and it is but unavoidable? Again, I don't see the evidence that is moving in a very big direction just because the deficits is already so large for these countries, you know, so I think that there's been that the problem the world faces today is that the government debt load in particular, in many countries, and especially to do with deficits has become so large. And when money was free, when you had zero interest rates, right, then you thought that you could keep running these deficits, right? That's no longer the case today. Interest rates have gone up everywhere.

And so it's very difficult. So I don't see people have the money and the means to do it. So you know, which is the fact that unless you're willing to redirect capital from somewhere to do this, but today, governments don't have the money.

Some people are making the case that AI increased productivity. Eventually, excess productivity will lead to a deflationary environment where interest rates will be negative. And countries which have a deficit will deflate their currencies out of deficit in a way.

You know, we are currently in the middle of an AI mania, yeah, where every problem in the world is being solved because of AI. What's your view of it? I think that it's undoubtedly a hugely transformative technology. But I'm very concerned that this could echoes of what we went through in 99, 2000.

Every episode is different. But the whole idea, we began your show by sort of saying this, that the definition of a bubble is a good idea gone too far, right? So I'm all for the benefits of AI and stuff. Yeah.

But whether this AI is going to come and like, you know, in terms of solve every problem and the governments can be as profligate as they want and they can spend as much as they want. I just don't buy that, which is the fact that, yes, in terms of that, it should boost productivity. But technology is always boosting productivity.

Yeah. Right. Now, the issue is how big an impact it's going to have on productivity.

But technology is always boosting productivity from the steam engine to electricity and stuff. And, you know, in Singapore, I remember growing up and Lee Kuan Yew saying the best thing that ever happened for their growth model was air conditioning. Without air conditioning, the country wouldn't have been able to grow, whatever.

So we always think technology improved. Now, whether AI is going to swamp all of this and lead to such a massive increase in productivity that we can all, you know, like in terms of not have to work and the governments can give universal basic income and stuff. I just find that idea to be too far fetched and not something that you can plan on from today.

So I spent the last three months in the US and I met all the AI guys, everyone you can think of. The valuations are cuckoo. Like there are companies which are earning 50 million, 100 million dollars of revenue, losing a lot of money, but they're worth 10 billion, 20 billion, 30 billion, pick the company, right? In a way, they seem to be making an argument that the world output is about 100 trillion dollars.

About 50 trillion of the 100 is coming from services. And they say if 10 percent of the services output is disrupted by AI, which is 5 trillion, it justifies all the infraspend that is happening around AI right now. I don't know if I buy the argument or not, but that's their argument.

As I said that even back in 2000, all these companies were trading at 50 times sales, 100 times sales. And we are seeing something similar happen this time as well. But we know what happened to those companies eventually, how many survived, how many ended up actually becoming profitable.

And also the technology stayed. Yeah. But how many of those companies actually benefited and survived is the question.

I'm with you on that, that if you were to buy, if you were to put one dollar in 100 of the leading AI companies of today, 10 years down the line, I don't think you would have made money. At today's valuation. Exactly.

So I think that's the point, which is that and something similar happened back then. But of course, Apple came out of it later and Amazon fell by 90 percent and then rose all the way back and Microsoft staged a comeback and stuff. But so that's my point, that there's a lot of AI hype today and this bubble can get bigger.

We know that because there's no end to this, particularly when the Fed is cutting interest rates and stuff like this can happen. But the whole idea that you can base policy already on AI, where the government think they can spend what they want and stuff. I don't think we're there yet.

So therefore, I find, just back to the original question, that universal basic income in terms of that nobody has the money today to roll it out in any big way. No government in the world, including the United States. Doge for deregulation and simplifying laws, who would you recommend in India? I have one name in mind, Nandan.

Yes, of course. Any issue in India, Nandan's our favorite person. No, I think Nandan is really good at this.

Like he's constantly obsessing. If you give him one issue, he will think about nothing but that for the next six months. I think he's capable of having that focus that very few people do.

Yeah. Who else can be on it? I don't know, in terms of the fact that I think that we have such great business people, you know, like it's to get someone from business to do it. Yeah.

You know, so we can actually make this as a recommendation. Who do you think? I think that, you know, people who understand this country very well. I think that I think Chandra understand this country very well.

I think people like Sunil Mittal understand this country very well. So the whole idea is to get someone from business to do this. Do you think someone from politics should also be a part of it? Like Ashwini Vaishnav, Jai Shankar, Piyush Goyal? I don't know them that well, to be honest.

So so I can't make a personal assessment here. Right. I know some of the business people.

A lot of them are actually not career politicians, but. People. In some cases from academia, business who have kind of been put in that place.

Yeah. Yeah. But I'd say that, you know, like in terms of some of these people, I like my own cousin, for example, he was in government and I think that he was a he was a bureaucrat, but he was one of the best minds I know, and he did a great job when he was there.

Rajiv Maharshi, he was the finance secretary, the home secretary and then staff. I mean, in terms of like he was all for this. In fact, he said that when he was in in power, you know, like for the last, I mean, few years, like his biggest grievance was that that he thought that in India the tax rates were too high.

The the state was too expansive and too and too involved. And this is someone who grew up in the IAS. So I think that someone who's seen it.

Yeah. Like it's amazing that if you speak to some of these people who actually come up the IAS and know the country really well, they will agree with a lot of what we are saying, even though they may, you know, their forces may think that they have a lot to lose from it. But these are the people, in fact, who will support these ideas the most.

So I agree with you that the people I'm talking about are, I don't know, the politicians from the policymaking and how ideological they are from this. Right. In terms of that.

So therefore, like I can't comment. The business people I know, yeah, that in terms of that, that that we're seeing the country who know how to deal with it and and what they can do. And how do you enlist them to come and do something like this? Other are some of these career bureaucrats who have actually seen the system and have seen about how like all the problems are and what can be done to fix it.

So a lot of these people, in fact, are are very I remember speaking to, you know, like some of Manmohan Singh's people back then, like in the 1990s. And even they were disappointed that why did Manmohan Singh stop reforming after the first two or three years? In, you know, like 91, 92, 93, we saw lots of reforms. And then once the pressure was off, that momentum began to flag.

Right. There. And so and so the bureaucrats were saying that why aren't we doing more in terms of that behind the scenes? Right.

So I think that some people have seen the system. They'll agree with this stuff that we are seeing here. Right.

So I'm going to like put it up again. Social mobility, richer suggestions, equal opportunities, not outcomes. No bailout, democratize education.

No welfare, no subsidies. Home prices need to be made affordable. Problem in America for home prices is regulation.

We have to figure out what the problem is in India. Deregulation, simplifying laws, maybe start a doge here. People like Nandan Chandra, some bureaucrats might be great for this.

Reduce power of investigative agencies, less fear, more pragmatic action, maybe like amnesty in China in the 90s, where you charge a fee and let people continue on their capitalistic pursuit. Make states compete more. More power, decentralization, a bit like mayors in China, make chief ministers competitive in the capitalistic way.

Maybe a case for lower taxes, maybe 20 percent attract more foreign capital into the country. One more thing I wanted to ask you. Is there anything else you want to add to this? No, I think this is a pretty big mix because I think that you've drawn more out of me because usually I'm pretty wary, I find, of giving advice to policymakers.

And because you go to different countries and you do that, because you find that it generally falls on deaf ears. That's why I'm like, why am I wasting my time doing this? I'm better of hearing, you know, in terms of that. That is what people have to have to say.

I feel like the perception is that the politicians or the the government at the top does not listen. But I have found in many cases that is not necessarily true. Yeah, but I'm saying this not just for India.

Like I've been to other countries, as I said, and I find that that generally, you know, giving advice is doesn't pay off because because that's been my experience, as I said. And it's not something about India. Like I was in Indonesia last week.

I met the Indonesian president when I was there and stuff. He was very keen to tell me about all that he's already done. And not anything about like what I had to say.

Similarly, I've written about my experiences with people like Putin and Erdogan and stuff that in general. Tell us something about Putin. I'm very intrigued.

Like I watched him on TV, the translated version of whatever he's saying. Yeah, it's very hard to read him. What do you think of him as a guy? So I'd say that this is a very interesting case study for me because I first met Putin in 2003.

You know, he'd come to the US and he came to New York. And he was very much about meeting foreign investors, quoting foreign capital. And he had just come to power.

And he was like, I have to make Russia like a European country again. You actually say these words, right? That I have to make Russia like a European country again. He was very much about the economic reformist.

And, you know, we spoke about taxes. One of the very few governments in the world which actually introduced a flat tax with Russia, right? They said flat tax. I think it was 13% or something, said flat tax.

And he told the oligarchs, you go do what you want, just stay out of politics and you do what you want and stuff. And like he was that way when he came to power. So in fact, he was a reformer in the classical way, right? I mean, it seems like such a long time ago, which most people forget.

Right. And then as the Russian economy started booming in the 2000s, the Russian economy boomed. Right.

And also the oil price also surged. When he came to power, the oil price was $20 a barrel. And then by the end of the decade, oil prices $100 a barrel.

Now, success starts to really go to his head and stuff like that. I mean, and you can see this. Then I go to Russia in 2010.

I was going to there to attend a conference in Russia, in like Moscow, one of the biggest banks there called VTB. And then what happens is that say the owner of the big bank calls me up and say, listen, since you're coming for this conference, will you make a presentation about what Russia needs to do to sort of move up to the next level of its development? And Putin is going to be there at the conference. And so his office is saying that since you're coming, why don't you make a presentation in terms of what's happening? So I'm like, OK, since I'm going there and I've been told to do this by the host and you think Putin is going to be there and give a chance to interact with Putin.

I'll do this. And then he gives me the advice that make a frank presentation. Say frankly what you feel about Russia and stuff.

I took those words seriously. I made a presentation and I land up at the Moscow Convention

Center. And, you know, there.

So the conference is going on. Putin arrives. He's he's on the stage.

And he's and Christine Lagarde was the guest of honor. She was the French prime minister, finance minister those days. So she came from from France and the other state.

So I go up on stage and then I begin my presentation. I'm told to make a frank presentation. Right.

So I start by telling Putin the fact that, listen, like it came to power in 99, 2000, a country was in chaos. And you came and you did these steps which were great for the country, like you in terms of about a flat tax, about stabilizing, you know, the business environment and stuff that was great, like all well done. But now here are your problems.

That if you look at the top brands in the world, including of stuff which is associated with Russia, like vodka, there's not one brand which is Russian. If you look at small to like midsize businesses in your country, there's not there's no small to midsize business of any note in your country. It's all concentrated by a few oligarchs at the top.

And, you know, like so. And then I run the list that about what all Russia has got wrong in terms of the last thing. What I did not know was that this is going to be telecast live because, you know, that the cameras were there, people were there.

So this is getting telecast live on Russian television as well. Putin's there. He's poker face.

He doesn't express anything. He doesn't say anything. He's taking notes down and stuff.

I think it's going fine. But then I could also sense that some unease is spreading in the audience. So then I go back and sit in my seat.

And then, you know, like I shake hands with Putin after the end of my thing. And then Putin talks after me. And then in his speech, he talks about, you know, like he's at a conference.

And you know how prime ministers speak at a conference? Yeah, they're all talking about how great the country is and all. But he does acknowledge one or two points of mine there. And I could hear that from the translation.

He knows English very well, but he'll never speak in English. And he'll only speak in Russian and in like public. Then the conference gets over.

I could make out something has gone wrong. But the conference organizers don't want to talk to me anymore. They they're acting very cold and stuff like that.

And all this has happened. And and it's all looking very uneasy. I go back to my hotel room early

next morning.

I'm woken up by a phone call. I was working with Morgan Stanley those days. I was there.

I was running the emerging markets investing group. I'm woken up by the person, you know, like they were the top executives at Morgan Stanley, who was my direct boss, who I was reporting to, saying that, what have you done? So I said, what have I done? This is like in terms of haven't you read the Russian press? So I said, no, I don't read Russian press. What's happened? He said the entire Russian press has gone after you, saying that they've come here for the conference.

And you have and you're just nothing but a party spoiler because, you know, like Russia today has like so much FX reserves. It's got its oil is at hundred dollars a barrel. You don't need you know, like nobody needs your money and your capital.

Like you should not come to Russia and stuff like that. So it's a very hostile tone in the press. And it's all controlled by the Kremlin.

So I'm like, okay, that's that. I mean, that's problematic. And so then I'm told that.

And then he advises me the fact that you should leave the country in terms of that, that this is not fun. This is not going to be fun and stuff like that. You have no idea where he was coming from, but he should leave the country.

So I left the country that day and then and then I've not gone back since. And then I learned that this this advice giving business is just counterproductive and doing giving Frank exchange and all that just doesn't work. And how it also taught me about how leaders transform over time.

That when he first came to power, he seemed receptive. He needed the money. The country was in crisis.

The country sort of like wanted foreign capital. But now he was in power for more than 10 years. Oil is hundred dollars a barrel.

He's firmly and so on. And he has zero tolerance for hearing any criticism about the country or what anything has to do. And and so here we are.

And after that day, I mean, in terms of the fact that I've always been suspicious about anything to do with with Russia. Fair point. But I think every country is different.

Yeah, but I'm just giving an example that you get scarred by some experience. Yeah, yeah, yeah. But you shouldn't give up.

Well, I'm not giving up. I'm still investing. I'm still doing what I can.

And I think the other way is like I still write. Right. So you write, you express your views.

Someone's interested in it. You engage with them. But the spoken word is a lot more dramatized than the written one, I guess.

Maybe, but I still believe in the power of the written word. So that's my that's my maybe my wrong obsession, but that's what it is. Do you feel like you get into trouble more for what you write or what you say? Good question.

In today's day and age, that difference has blurred so much. Right. Because what you say can often be written as tweets and can be sort of go viral as well.

Yeah, I think in the I think in the olden days, the written word was possibly more powerful because it had greater staying power. Today, because of the Internet, the social media, any spoken word also becomes the written word. Yeah.

So that distinction, I think, has blurred in terms of what is there. But yeah, I think platforms still matter. I think that and there are very few platforms because it's become so democratized.

Very few platforms would still get you the kind of reach that you once got in terms of that. No platform does like, you know, you can be published wherever the kind of reach that you had in the, you know, like about 20 years ago, if you could publish, you could publish in a particular newspaper or stuff. You knew that you were reaching a very large portion of the audience.

Today, it's much more fragmented anyway. But today, today you're reaching a large audience. Yes.

I mean, in terms of that's the great thing about doing this show, because of the fact that like, you know, like a few people are broken out of that. Right. In terms of that, in terms of like a critical mass.

Similarly, I feel I write for the Financial Times. I still feel the fact that, you know, like like you sort of get a lot of reach for that. But even there, I'm very clear with the editors.

And if to negate that, listen, the day that I'm published, please make sure that this is at the top of the page and stuff like that, because you want to reach you've done all the effort. You've done the stuff and you've done, you know, like the thing. So I think but the platform still matters.

But otherwise, it becomes so much more generally. It's I think it's a it's a problem with the structure. Yeah.

I feel like we are a lot more honest because we have no ads, we have no sponsors. We are not a like there's no product placement. We're not making money out of this.

Yeah. For a FT or another media house per se, which is dependent on advertising from FMCG companies and political parties and all of that. It's hard for them to publish your critique that might

affect somebody who's also giving them the revenue.

Uh, you know, it's less true of a place. I mean, like in India, I can see that point in terms of many media organizations with the FT at least. Maybe I should touch wood.

Yeah, I've not faced that so much. Lionel Barber is. He used to be.

Yeah. I've read his book. Yes.

Yeah. I mean, like he wrote one on Masayoshi Son, I think recently. But Rula Khalaf's the editor.

She's the one who got me. And I don't face that issue there. I've never had an instance where they've been scared to publish something which would be, which would be like, like hurtful or someone.

So that way that they've maintained that integrity. But you're right that I mean, like it's a risk. But the other risk that we have in media organizations today is ideological.

Like I should write for the New York Times before this. And there it's much more ideological. More left leaning democratic.

If you don't have that world vision, then to pass your content through that filter is a lot more difficult. That is a bigger problem, I feel. Right.

Yeah. Then this issue of product placement, advertising and stuff, which is maybe true of many places, particularly in India. But there, like in places like the New York Times, I feel the issue is much more ideological.

If you don't fit their ideological filter, it's much harder to get through it. Do you think a true media organization of tomorrow by structure will have to be a cooperative and not owned by a person or a corporation? I think we've already moved towards that, right? Which is the subscription model. But unfortunately, what's happened is, again, if I go back to the New York Times example, it's gotten worse.

Because what's happened there is that they've become very profitable. And their subscription revenue drives their revenue model. Yeah.

It's not advertising so much anymore. It's there, but subscription is the overwhelming driver. And I would imagine that in a subscription driven model, it should be much more free press.

Right. And much more democratic in that way. Yeah.

And yet, because the subscription driven model, a lot of it is driven by very left leaning people. Yeah. If they see content, which is too much to anything to the right, they almost want to threaten cancelling the subscription.

Yeah. And at times they run movements saying that we need to cancel the subscription because of this. And I've seen people, I've actually seen that play out in front of me, which is that they had this in 2020.

I remember that. In fact, the editor I used to work with back then, they all suffered because they published a very controversial piece from a from a right wing Republican senator at the height of the Black Lives Movement. Yeah.

You know, when that was in the Zeitgeist back then. And because they published that piece, there was such massive outrage that he had to go. I feel like there will be some kind of a vacuum in media news journalism at some point in the future and what comes into that vacuum.

When you think about it, a hundred percent unemotionally, if news reporting is what a media organization is meant to do, it's like 30 lines of text which tell everybody about what happened in the world today. When we subscribe to a media house or I read from a certain journalist, I'm actually subscribing to the bias of that journalist. If you would withdraw that bias from that journal, then I might as well read those 20 lines of text.

So bias will never go away. I feel like. Yeah, that's right.

And I like I'm a data person. I write a lot with data. Yeah.

And and I know very well how data can be also manipulated. Like you have a bias. I have a bias.

Yeah. So if I'm reading Ruchir. Yeah.

I'm subscribing either consciously or subconsciously subconsciously to your school of bias. Yeah. But I think that I still believe in maybe this is a slightly old school of journalism.

Yeah. That your writing needs to be unpredictable. Yeah.

Which is the fact that people that and that's what I've tried to make. At least my you know, as I said, there is no single formula for success anywhere, as you know. Right.

I mean, people have their own models in terms of that. The most ideological people have a huge following and huge readership as well. My own personal belief as to where I come from is that you need to be unpredictable, which is the fact that if someone is picking up your piece or you're hearing it, they don't know from, you know, that always know of the times and you will need to be very predictable as well.

Yeah. But you may not know as to what the take is going to be. And it's very hard to pigeonhole that person in a particular place and say this person is left or this person is going to be sort of, you know, the typical Wall Street guy who's going to talk all about only lower taxes and all that.

So it has to be unpredictable. I agree with that a hundred percent. We were interviewing Sam Altman recently.

If AI is able to digest everything Richard has said and predict what Richard might say next, the novelty with Richard, the human being, is almost to become a contrarian of Richard himself. Yeah. Constantly.

Yeah. Yes, absolutely. Yes.

So in a way, in a very perverse way, people who change their mind constantly in the future will have more of a use case in a world where predictability becomes very low hanging fruit because of AI. Yeah. And also because and to be less, and I think that this is the good thing about the investing business, if I can say so.

Yeah. It forces you to be non-ideological. Yeah.

Because like, for example, today also, a very large segment of my friends keep wanting the American economy and the entire thing to tank because of Trump. Yeah. Because of the tariffs that he's doing.

Even though they will lose money. Even though they will lose money, but they want it to happen almost. Yeah.

In terms of that. Now, I also don't agree with tariffs generally, but I also realize that you can't be ideological. That, for example, today, why is the American economy, why is the American market doing better than was predicted? Because at the end of the day, the tariffs are very significant.

At these tariff levels, every economist had told us that we'd have a recession by now. Yeah. Right.

Because you know, you have an effective tariff rate of 18% in America. Why is that not happening? So I, as an investor, am very much seized by that fact, that why is this not happening? Rather than sort of just saying that, no, no, it's a matter of time. It's bound to happen.

It's bound to happen. As an investor, I can't, I find it very difficult to short, like in a, in a, like an investing thing, that you want to short this market thinking this is crazy. Why is this not happening and stuff? And yet you realize when you dig deeper, why this is not going on.

Partly it's because of the AI mania. That as I keep telling people that you're obsessed with Trump, but there's a force larger than Trump. It's AI today.

Have you made money shorting in life? Generally not. Yeah, same. Yeah.

But you know, like it's very difficult to make money shorting in life. Because whatever growth

might be 6%, 5%, 4%. Yeah.

There is growth. There's growth in the world. Yeah, that's right.

I mean, you're like completely correct. In fact, I find that the best investing is the more, the more longer term your horizon, the better the chance of success. I agree a hundred percent.

And strangely, tax laws across the world seem to be on that side. Yeah, that's right. But I think that, you know, like in terms of that, you know, but we are also, we kind of a simplistic view that you just keep buying every dip and then every dip is going to the right, but, but you're right.

So that shorting is much more difficult. And just the longer the time horizon you take, the better the chance of your success as well of any stock or anything that you end up, that you end up buying. So India doesn't have a very robust lending and borrowing mechanism.

So you can't really borrow companies to short. Yeah. Largely people choose to short through derivative contracts, which have, the liquid contracts have a shelf life of not longer than three months.

Yes. Yeah. Yeah.

That's tough. Yeah. It's like really tough.

But I, but also the fact that we've had such a bull market. So, you know, that's there. I mean, there are periods when short sellers have also done okay, but in general, you're right.

It's a, but if you're short and you're right, you pay 40% tax. If you're long, because of the way it's structured. If you're long and you're right, you pay 10% tax.

I know. Yeah. Yeah.

So it makes, I feel like shorting is such a essential part of the ecosystem. It makes our markets so much more robust. It's an artificial floor.

When a correction is happening, shorts will cover, but also price discovery becomes a lot more efficient. I feel like we really need to make it a level playing field for somebody going short and somebody going long. Yes.

We have, as a society, demonized short sellers because of headlines and news that people have not understood. Yeah. So I think there's a case to be made for India to change that.

Yeah. I agree in principle. Yes.

Yeah. Yeah. Okay.

I'm going to get your first thing. We didn't complete your story. You spoke about school and then

you traveled and then you heard you, you saw a bit of socialistic India, I'm guessing under Indira Gandhi.

Yeah, that's right. I mean, and you know, like in terms of as a kid and then you just carried on, right? I mean, like until the eighties and stuff, and even when we started opening up in the 1990s, we were still very behind what other countries had done by then. And then you went under Lee Kuan Yew, who's like this magnetic, I've seen some of his speeches.

Yes. I've just been interested in the history of Singapore's fishing village to what they are today. Yeah.

I think his son was in power now, no longer, but it's still not a very partisan, like there's only one party, one party even today, right? For relevant purposes. You have the opposition, but yeah, you have one dominant party there. Yeah.

Yeah. So what happened when you left India, went there? Why did you go there? And then what happened? So as I said, I went to Singapore because my father was transferred there. He was like the defence attaché in the Indian High Commission.

And then I had to come back to India when he came back to India. And then I, I found my passion there, you know, which is that a lot of people ask me even today, you know, like the typical question, which I'm sure you get asked that, what's the secret of your success and stuff? I hate such questions because it makes you feel very sort of self important, which we should not be. But if I can say one thing, which I was lucky about, I can say, was that I found my passion very, very early in life, which was, I was usually passionate about macroeconomics and how to make money out of it.

I was very passionate about that. So at a relatively young age, about 11th, 12th standard, when I was, when I came back to India, I started to doggedly pursue just economics and reading a lot of the financial press and stuff, those days, you know, what we'd listen to the BBC World Report to know what exactly is happening in, as far as, uh, uh, like in the world. And then my, my, some, you know, like I try and get hold of the newspapers, like the Wall Street Journal, the Financial Times to read those, to see what the market commentary is.

So I got obsessed with all that, uh, at a young age. And then I, uh, like started writing about it. Uh, I got an opportunity that, uh, that after I finished my 12th standard, uh, India, uh, this was 91.

India was just about opening up to the rest of the world. And so, uh, India's pink newspapers, uh, those days were very keen to have, uh, someone write about what's happening in the rest of the world in terms of, you know, like in the world's markets and stuff. And they just summarize it, not even give an opinion, just write summary, like someone puts a summary together.

So I started doing a column called Forex Watch. Uh, I first wrote that for a newspaper called

Business and Political Observer for a few months back then. It was a newspaper which, uh, uh, which shut down.

And then. There's no free press in Singapore, right? Like whenever I pull up a newspaper, I never read about that. This is when I'm back in India though.

Right. In Singapore, yeah. In like Singapore, in terms of, it was all restricted.

It was mainly the Straits Times and the Business Times. So the Singapore media is very different. But then I, in terms of the fact that when I moved to India, the media was very vibrant, uh, those days, particularly the print media.

What era was this? 91. Right. Uh, in terms of when I started writing for the Business and Political Observer, this is just after my high school.

Uh, so I started writing that, um, and then the Economic Times wanted something like that. And those days writing for the Economic Times was a big deal, uh, because it was a dominant newspaper back then, you know, uh, in, uh, so then I started writing a few months. I still actually think Economic Times is quite good.

Yeah. Yeah. Yeah.

So then I started writing for the Economic Times and when I said like the media world is much more fragmented. Those days Economic Times back in 19, in the early nineties, I had huge, uh, you know, like in terms of, uh, prestige value for writing. So then I moved my column to the Economic Times and I started writing the same column called Forex Watch then.

Uh, and then, so I always sort of had a keen interest in writing, but it was always at that age, as I would say, um, I would say that I can't get people, I can't relieve people of their wealth to give me to manage. So the next best thing is to write. Uh, so I wrote for all the, like, uh, you know, for the Economic Times.

And in fact, I had to pretend that, uh, because at the Economic Times, they didn't know who I was, uh, and every Sunday they'd publish my column, uh, but they did not know what my background was. And I had to hide from everyone that I was actually still in undergrad college. I was studying at SRCC.

Uh, back then, and I was like an undergrad college and I'd go every Saturday and, and submit my column, uh, called Forex Watch. And I'd write that column by talking to lots of, uh, like what I did, I think those days was like a bit sort of, uh, pioneering was I'd actually get the phone numbers of all the top economists in the world, working at various banks, Goldman, Morgan Stanley, Solomon, et cetera, call them up, get their views about what's happening and stuff like that, and summarize it and write a column, uh, in terms of what's happening in the world of markets. Uh, till the mid nineties, I was doing that.

I finished my college and then I was very keen to go and, uh, do my PhD in the U.S. I thought that because I wanted to be an economics PhD thinking that's the thing. So basically academically very gifted. I don't know gifted, but I was very keen on economics, on economics.

Did you get first, second or third rank in school? Never. Okay. So this is a very important thing.

My only interest was in economics. So I would top economics or be top of the class for economics, but in other subjects, no mathematics. No, I was okay, but I was okay at other subjects.

The only subject I was really good at was economics, right? Because I put all my attention, even in mathematics, very important that you do that. The only mathematics stuff that I would like was where economics was involved. So for example, I would love doing probability, right? I would love doing, uh, you know, like stuff like even some calculus where I thought economics was involved, where economics was not involved, vector algebra or something I had no interest in.

But probability, I was fascinated by probability, uh, as a subsection of economics or of statistics. So it was just a natural inclination that I want to do economics and a huge interest in world affairs also, that because I came from Singapore and stuff, a lot of interest in that, a lot of reading of that. So then I did all that.

And then I was going to do my PhD in the U.S. And then some people at Morgan Stanley that I happened to meet. And Morgan Stanley, those days was the first real big, uh, foreign organization, uh, foreign investor to set shop in India. Uh, some of the top people there, they, they, they read my work and, uh, and then like, you know, like I started to engage with them.

In fact, I interviewed them even for the economic times and stuff, but they started to engage with them. And then one of them sort of, you know, like told me that you want to make money or do you want to study? So I'm like strange. I said, no, I want to make money.

And then I got a job offer where I gave up my PhD plan. I was all, all set to go to my PhD. But then Morgan Stanley hires me, uh, then, uh, and they, I remember those days they made an offer to me of a hundred thousand dollars.

Which era? 96. That's a lot of money. It was huge money back then.

Right. And I was just 22 years old. And they said that, listen, we'll give you this much.

Why don't you sort of, you know, just come and be part of the team and you can do your global macro analysis, et cetera, sitting in India. And, and, you know, we, uh, eventually we'll move you to New York, but let's get started. My salary five years after 96 was $1,000 a year.

Where were you working? In Bangalore. At? At a company called 24x7 call center. Call center.

Wow. You started at the call center. Fascinating.

So anyway, so I started that. And you can imagine it was big money. Yeah.

Crazy back then. Yeah. And then I started at Morgan Stanley and then I had a 25 year career there.

I was first in India and was baptized by fire because I joined them in late 96. And in 97, 98, the East Asian financial crisis broke out. And they wanted me to spend more time in East Asia covering that East Asian financial crisis.

This is Japan. No, this is like the Thailand, the Thai bar going bust. And then like all the countries, Indonesia riots on the streets of Indonesia.

This is Thaksinshinawatra time. No, that came later in 2003. Okay.

This is even before. So this is in 97. All the pegs broke and it was like a complete chaos.

There was Suharto and Mahathir Mohamud. It's that era. So all these guys get completely wiped out and stuff like that.

And the economy suffered and it's like complete chaos out there. And I'm covering that whole crisis in terms of that. And even some of the people that I worked with, they lost so much money there that some of them also got wiped out by the crisis.

Right. So it was a very harrowing time. And even I did not know whether I'd survive in my job.

Right. Because it was just the winds of change were huge. And the crisis that was happening.

But I managed to survive. And that's a longer story. But anyway, so then I worked at Morgan Stanley.

And then I ran the India funds for them there, which did reasonably well. And then that allowed me the platform to move to New York. And then I moved to New York in 2003.

I moved to New York to run their global emerging markets group. And so I then was there and also helped do the global asset allocation. But one thing which I always did, and this has been my mantra in life about living life in parallel, is I always carried on writing.

So there's never been a month in the last 30 plus years when I haven't written. So writing for me was always a very important discipline. So it was writing and investing.

Those were the two big things that kept me going. Can I ask you a question? Does validation for Ruchir Sharma today come from intellectual academic superiority, the money you have made, or social influence? You know, I'd say I truly believe in the life of living life in parallel, because in

each field, I know people who have done much better than I've done. Right? Let me ask you in another way.

Let me rephrase. If you could ditch either the intellectual superiority perception in society, the money you have, or the social influence that as many people read your book as they do and watch you when you speak, which one would you ditch? It's like asking you which of your three children do you like the most? No. It really is.

Because for me, as I said, it's been about life. I'll give you an answer if you ask me that question. That in terms of... If I had two, three traits that define me in society, which one I would ditch, I would pick right away.

I'd love to know which one. I would pick the social influence, people listening to what... Yeah. Yeah.

Instead of the picking order, I think it's very clear. Yeah. That the most empowering thing is to have money.

Yeah. So I agree with that. Yeah.

So most empowering is money. Yeah. Right? But beyond a point, I think that that also begins... Like it's not like... Today if you told me... Like, yeah.

So if you told me 10-15 years ago, which one to ditch, I'd be very clear that money is the most important because I didn't have enough money then to live a life on my own terms. But today it's a bit different. Because today I feel I'm getting to a point where like in terms of that the money is there for my personal lifestyle to sustain the way I want to.

But... But if you ditch money, your money goes away. That's right. So you can never ditch money.

Yeah. I think that is at the core of it. But I also don't believe in the other extreme.

In fact, Ray Dalio, he goes on about how money is the measure of a man. And I find that a very sort of... Apparently he sold everything. Did you hear? I didn't know.

No, I didn't know this. Apparently Bridgewater has exited most capital... Well, he's no longer at Bridgewater as you know. But Bridgewater... But I think he's still governing it from afar or something.

No. No? It's run very separately now in terms of it. So Bridgewater is still very actively running money.

What Ray Dalio is doing with his personal money, given how bearish he is on the world, I don't know. Yeah. But Bridgewater... He's gotten excessively bearish of late.

Yeah. He's like extremely bearish. He's saying the US supremacy time is over and there's a shift in the world.

China is the next... Yeah, that I think is still mild. But he's talking about World War III and crisis and stuff. That's the extreme view.

That's fine. That's his view. I respect that.

But I think that for me, the issue is the fact that money from... I guess the short answer to the question is I find money the most empowering. Yeah. But I don't believe in the extreme that money is the measure of a man.

I agree. Because of the fact of the matter is that, like in terms of that beyond a point, it's a school board. So you would say money first followed by intellectual academic superiority? Possibly.

I mean, if you really want to rank it, as I said, for me, it's like choosing between three children. See, I know you socially. You don't drink.

You have no bad habits. You run. Your perception very much is the really smart guy in the room.

That's good to hear. Yeah. So I was just wondering what you hold close because I have seen it from the outside.

Right. Yeah. But for me, as I said, that the money has always been a very empowering thing, right? Which is that because... But for me, it's a means towards an end.

It's not an end. There are many people from whom money is the end. The scoreboard is money in terms of what it is, not lifestyle.

For me, it's a means towards an end. That it's a means towards me having the thing that I value the most in life. For me, when someone asks me, what's your definition of happiness? I think for me, the definition of happiness is having complete autonomy.

And money is one of the conduits. And money is like a very important conduit to it. You know, where you don't feel indentured.

You don't feel like obligated. You feel like, okay, this is it. Okay.

So we're going to run through some trends and see what can we do to improve the India number. It's going to be a little bit more India focused and less world focused. Starting with FDI money coming into the country.

FDI in the last few years seems to have slowed down significantly. How much of this is geopolitics? How much of it is the economic situation? Coupled with the tariff issues, is the world becoming more fragmented by each country? Looks inward more than it does outward, like a

more globalized world was looking outwards five or 10 years ago. What do you think will happen with FDI? No, I think that as far as FDI is concerned, undoubtedly, India's rate has been a bit disappointing, right? Because if you look at the East Asian countries, when they were doing well, since we've spoken so much about East Asia today, as an example, they were attracting FDI 3 to 4% of GDP.

We have never really broken much above 1% of GDP, the net FDI number, at least. And that's because, as I said earlier, that it's just a difficult country for a foreign investor to come and do business from the start. That you're almost happier doing portfolio or other investment where you're piggybacking already on the existing local person who knows how to navigate this environment.

But to directly set shop here is still very difficult. Therefore, our FDI number has barely broken above 1% of GDP, ever. So I was part of GIFT when it started.

I'm still on their board and I work with those guys a lot. I love those guys, by the way. Whenever I talk to funds outside, they seem to think that it's easy to invest in India, it's harder to take out money from India and that narrative has not gone away.

And the many debates we've had over the years have been things like, for a while they said, why do we require a PAN in India if you're a foreign investor? I think GIFT changed that ruling around and they said no PAN is required. They've been acting on all the feedback they've received. Why do foreign funds, FDIs and FBIs, still believe that it is hard to take out money from the country? And if we were to become capital account convertible, would that mean net inflow or net outflow from India as it stands today in the world? Yeah, so two things.

I think that for foreign investors to take money out of the country is not such a big deal. But the reason why you're not the GIFT city staff and all is that because unless you have greater capital account convertibility, it's very hard for any GIFT city thing to really prosper. Right, for example, what's going on? I mean, I know today directly, which is that for a family office, if they want to take money out of this country, it's extremely difficult today.

I'll tell you what's happening. The government came up with a structure called FIF. Yeah.

Family Investment Fund. So what ODI restricts you, ODI allows for a company to take out four times their net worth and invest outside. ODI does not allow you to invest in public market equity, nor does it allow you to invest in real estate.

The government came up with a structure called FIF, which was meant to allow both of these, not in the structure of a joint venture, because nobody can buy 5% of Apple or 10% of Apple, but do minority investments. I think the problem today is GIFT is regulated by IFSC. And there is RBI.

For somebody to transfer money, say from Bangalore or Bombay into GIFT, they have to go via

the RBI because it's like a different geography. And I think somewhere those two bodies are not meeting eye to eye. Yeah, but I think the fundamental issue is the fact that the fear is that if you open this gate, there'll be a flood of money which will rush out.

Right. That is the fear. I don't think that's true.

I personally believe that if India were to become capital account convertible, more money would come in than go out. You know, so you're right about that. I'm saying what the fear of the policymaker is, that what their reaction function is, right? Because they sort of keep thinking about people wanting to set up, you know, family offices in Dubai and take money out into Singapore or wherever.

So you're correct, theoretically, that whenever countries have, I remember writing this piece, in fact, back in the mid 90s based on research, which is the fact that capital account convertibility has always led, in general, on balance, at least initially, to more capital flowing in than flowing out, because it's a statement of confidence in your economy, in terms of what you're doing. So you're totally correct about that. But the fear I know expressed is that in the current environment, given already the amount of money which is going out, that it would be a flood.

That's the fear. But it's not like, I think the LRS money which is going out every year, I don't know this year's number, but maybe 25, pushing it 30 billion, the amount of money coming in through remittances, maybe 140, 150 billion. The one thing we do have going for ourselves as a country is Indians outside of India tend to be very affluent people, who would, in my opinion, bring in a lot more money here, especially when they're coming from places where money in a bank yields significantly lower than India.

And at a time when the American government themselves seem to be making a case for depreciating their own currency. I think that rupee depreciating 4% a year versus the dollar or 5% on average, that era is over. For so many reasons, I can make a case for why capital account convertibility will be net plus plus, then minus.

You think that's the one solution to get more FDI into the country? Yeah, I think that's a very important part of it. But I still feel it's about doing business on the ground. That how, that what's your interface with the tax authorities? What's your interface with the other regulatory authorities? I still feel that's a very, that's very difficult.

You know, yeah. And even setting up an office here, as I mentioned to you, compared to... You find that with IFSC in Gift City? No, I'm saying as a general thing, in terms of what will help more foreign capital come in here. Right.

Because at the end of the day of, you know, like a foreign business person, if the costs are much... Why does Vietnam in all attract so much more capital than we do? Right. Their FDI numbers are much larger, especially the share of GDP than what we get. What else can change

that? Outside of capital account convertibility? As I said, it's about your direct experience on the ground.

That has to sort of become much... Experience of dealing with regulators while opening a company? Yes. Or even in terms of that, you know, like on a daily basis, you don't know what notice you'll be served, whether it's, you know, like, I think it's a, it's a constant battle that you have to go through. And you know, that is an Indian business person as well.

That as an Indian business person, you know how to negotiate that. But the fear of some notices being served, this check, that check, that's very onerous. And for a foreign investor in an alien environment, it's much more difficult to deal with that.

Fair point. So we are recommending that to get more FDI money in, capital account convertibility experience with regulators becomes a lot more seamless and interactive. And silly things like notices being served, which help neither this party or that should go away.

Yeah, that's right. Yeah. Maybe there should be a separate body, which is in charge of attracting FDI, which this sits under, right? Yeah.

As I said, like, it's about, you know, like the DNA has to really flow through, right? Which is the fact you can create a body or something. But how do you make that DNA flow through? Which is that, how do you make that, you know, much, you know, much easier? I think, you know, that's what needs to happen. But the other thing that we spoke about earlier, the greater competition among states, right? Because a lot of the decisions have to also be made at the state.

We tend to think much more that this is at the centre, it's the government, you know, like, what's the Modi government doing and stuff. But a lot of the decisions are not just theirs. A lot of this is at the state level as well, that the state chief ministers need to make these decisions.

But we're talking about a very competitive world where Europe is doing far worse than us, from a same regulation standpoint. I'm saying, who are we competing against? Who's doing better in attracting FDI and who's doing worse? Yeah. Europe, I love the term that someone gave me, is like the Silicon Valley of regulation.

Right. So that's what a model we want to know. But there are enough countries in East Asia, I quoted just Vietnam for you in terms of that, even Thailand and all these countries where FDI is a share of their economy, is much larger than what India is doing.

Like even in our neighbourhood, even like in terms of what some of the Bangladeshis did historically and stuff, as a share of their economy, these countries have done more as far as FDI is concerned. The US is again an anomaly because all the money is going there on the AI. On the AI front.

Absolutely. Yeah. Would you bet US now, if you were to be given a choice, if you had one binary

dollar to either buy the S&P or the NASDAQ or not buy, buy or short? No, my view is very clear just now that over the next 10, 5-10 years, I think the rest of the world outperforms the US.

So the US has had this incredible outperformance. So, you know, we've gone through these phases. We've got history here going back right up till the beginning of the 20th century, covering more than 10 decades.

And what you find is that it tends to often alternate. One decade, the US will do very well. The other decade, the rest of the world will do very well.

And till right up until the global financial crisis in 2009, the returns in the US and the rest of the world were roughly even in dollar terms. I'm talking about everything in dollar terms. Last 10 to 15 years, the US returns have just been three times faster than the rest of the world.

It's just left the rest of the world like in the dust. But a lot of that also had to do with the fact that the dollar was very strong. The US economy did very well already because of technology.

And the rest of the world seemed to lose its plot after the heydays of the 2000s. The BRICs and everything sort of, you know, got complacent, took up too much debt. And then places like Europe, Japan, facing demographic issues, regulatory issues and stuff.

I feel that's changing now. That the rest of the world is getting its act back together a bit. Partly what Trump's tariffs are doing is it's galvanizing the rest of the world to do more domestic reform, to, you know, like get more capital to compensate for any damage from tariffs.

And the US has now become very overvalued compared to the rest of the world, including the dollar. So now we're beginning to... So I think that in the next five to 10 years, I think the rest of the world outperforms the US. In fact, today I'd say that the only reason for being in the US today is AI.

From an investment perspective. You know, so someone asked me, like I was there talking to a large sovereign wealth fund, that how should we asset allocate? I've got $100, how do I asset? So I said, it's probably simpler than it's been in the past. Right.

That if you want to be in the US, do it only for AI. Everything else in the US today doesn't look... is either expensive or fundamentally flawed. So you don't have to be there.

And for anything outside of AI, you'll be in the rest of the world. Now, how much to allocate between US and the rest of the world depends on what's your view on AI. If you're a super bullish AI and you believe the projection these companies are giving, then you please put 70 to 80% of a capital in the US.

I'm skeptical of some of those claims. Otherwise, it's the rest of the world where the returns are likely to be better. And a very key part of this is going to be that the dollar I think is going to be

relatively weak for the next five, seven years, for the foreseeable future.

You said this a few months ago that dollar as the currency of global trade will go away, but not in the near future, in the long term. Yeah. Has your perspective changed? Does it look like it'll happen sooner rather than later because of the last few months? It could happen sooner.

I just don't know the timeline because everyone says what's the alternative, the Chinese also don't have capital convertibility. Yeah. So it makes it so difficult.

You know, I think that's been one of the big anomalies of this era. In the past, when another superpower rose, they typically attracted a lot more foreign capital and all that. But because China doesn't have, it's still at the end of the day, controlled by a communist party.

Right. And they don't have capital account convertibility. Therefore, the trust in the Chinese currency is still very low.

Yeah. So therefore, it's taking longer. Yeah.

But I think the dollar generally, even if the dollar doesn't go away as the main trading currency and still remains the world's dominant currency, if you look at the last, you know, 50 odd years, right? Since we've had freely floating exchange rates, it's not that even when the dollar has been the dominant currency in this, as far as the dollar always goes up, there have been very significant periods of time when the dollar has fallen by 30-40%. Especially when it's become very expensive. It happened in the 2000s.

It happened in the late 1980s. It happened in the 1970s. So my basic view is that in the next 4-5 years, the dollar now has declined this year about 10%.

Not against India. Apart from the rupee. On average, I'm talking about.

The dollar is down nearly 10% from its peak. It's down nearly 10%. Do you think we're artificially devaluing our rupee to stay competitive on export? No, I think that the fact is that we are partly paying back for the time we kept it a bit too strong in the past.

And now there's payback time. And second is that foreign investment has really dried up. Right.

If you look at foreign portfolio flows and all into our country, they've really dried up. Do you think the Chinese and the Americans have this unsaid relationship where we will allow you to have a trade surplus as long as you in turn buy our treasury and then money net-net is not going back to China in a way it's staying in America. Do you think that's been a relationship of sorts? It may have been in the past, but it's declined.

If you look at the Chinese hold of treasuries, that's gone down. Almost coinciding with this tariff narratives. No, even before that.

Slightly, one, two years. Like I'd say the big turning point was Ukraine. Right.

That, you know, the moment that that happened, I think that was a very big turning point. Even before that, maybe it started because US-China relations have been deteriorating for a while. Yeah.

But Ukraine was a very big turning point there. And what I refer to is that the way the sanctions were imposed on Russia. At the time of the Ukrainian war, where the assets were seized.

Yeah. And Russia was thrown off the dollar grid completely. I think that was a big wake-up call for governments around the world that, listen, if this can happen to Russia, it can happen to us.

Even though Russia may have acted outlandishly in the way, like what it did in Ukraine. But the fear felt, you know, how it is when you feel that if someone, you know, like gets targeted, even if for the right reason, but you felt that this is being done very harshly, you fear for your life. I think that's the one most significant self-goal the dollar has ever hit in its tenure.

That's how we'll view it. Today, no one in the US quite sees it that way because they still feel they're funding their deficits. Money is still coming in.

But I think when we look back in history, we will look back at that as a very important turning point. Another thing that, I'm no expert at geopolitics, but the US seems to negotiate better with people who negotiate with them like them. Like you've seen in the example of China.

So when PM Modi, our Honorable Prime Minister, is playing hardball with him and this new alliance of India, China, Russia. Yeah. What do you think is the future of that? You know, it's so hard to make these projections because remember how things have changed, right, which is the fact that when Trump won the election, the second time, that was first term, there was a lot of euphoria in India.

And Russia. And Russia, you can argue, but especially in India. I'm talking about India, right? That Trump is, you know, like, going to be much more like us, like friendly and stuff like that.

And there was still a lot of hostility towards China. In fact, even as recently as after Operation Sindhu, there was massive hostility towards China, saying that these guys have supplied weapons to Pakistan, Pakistan in turn has used those weapons, and this is a proxy war being fought by China and everything, right? It was complete hostility towards China. And look at how dramatically things have changed.

Where here we are today, and all of a sudden it's back to India and China, and we are now, you know, in terms of feeling so sort of let down by the US, and now we are in terms of the same people who were so critical of China, now are spending all their energy being critical of Trump. Don't you think that's a human condition? It is. But nobody remembers anything.

No, but I mean, you say that, but it also tells you in the world we're living in, that how quickly relationships can change. And how quickly this, you know, you think this is major strategic stuff going on here, but just look how quickly the theater changed. Could anyone have, you know, like three months ago, imagine that US-China relations have been on a downward trajectory for a while.

All of a sudden, like in terms of US and China today, Trump appears much less hostile to China, and is appearing more hostile to India today. So what I'm trying to say is that let's not extrapolate too much from what happens, because how dramatically the situation can change. We are in a world, at least Trump's world is a very transactional world.

And this is what I'd said even when he got elected. So let's not think that there's something major strategic going on here. This is a transactional world.

If tomorrow something happens where he sees it advantageous to get back with India, he will, he can turn on a dime. What could that be? I don't know whether there's some fallout with China on something, or the fact that he feels his ego is getting placated again by India. It could be something as simple as that.

There's one thing I'm watching around me, I'm observing around me, which I hate, is every Indian brand, every Indian teenager, young adult, we're all spending five hours a day on chatting on WhatsApp, consuming content on YouTube, watching Netflix, spending time on Instagram and Twitter, which is the majority of our free time in a day. If I'm a young brand, I start selling t-shirts. My go-to market strategies, again, ads on Instagram, performance marketing on Google.

So, so much of our world today is dominated by that ecosystem of American tech. Now, I've tried to calculate the numbers and extrapolate. I was trying to figure out, let's say we export software services of 250, 300 billion, whatever the number is.

There is no accurate depiction of how much money, not just in terms of revenue, but in terms of data, from the youth of the entire country spending. That's a big population, right? Like if you look at how many users any of these Instagram, Twitter, etc. have, the highest user base is India.

So we are a significant part of the value accretion back in the US. Yeah. Nobody's accounting for that.

Yes. I don't know if that becomes our bargaining chip, if it comes to that. No, that's a very interesting point.

The issue is that how on, like, as you said, it's so hard to tax that or, or to tariff that, right? Because goods is easy to do. How do you, how do you do that? Maybe like China did. Build our own Google, Instagram.

Exactly. But that took a long time to do. Absolutely correct.

I was thinking about that. If I remember, like this piece I wrote back in the, like, what, you know, seven, eight years ago was exactly this, which is, I went to China. I was fascinated that how none of these brands existed there.

Yeah. And they created their own stuff. But that's where we, I don't think we have that, that capability as yet.

I don't see the evidence. We tried, you know, in terms of it, you know, like some domestic version of Twitter or something. Who? I was invested in that.

Yeah. We shut down. Yeah.

So that's the point. We've tried it. We haven't been able to create it as yet.

The one thing America does a stellar job at is selling patriotism. I don't know how they do it, but to see a flag outside every other house, to talk about this American dream and all of that, you see, it's like it's permeated all parts of society. I think India is on that path where everybody's getting more patriotic.

Like I'm a big champion of buy Indian brands only. Like I'll buy shirts from 1111. I'll buy my chappals from some brand here.

I feel like we're on that journey. I don't know when that line is crossed, but I feel like that's the time when this, when they have something to lose and bargaining becomes more fair. Well, that's what's happening with China today.

Yeah. Right. I mean, so in terms of the fact that because China sort of has the rare earths and stuff, but having said that, the only slight pushback I'll give on this American point is that at the end of the day, the consumer there is also quite transactional because after all, they were not able to get rid of TikTok.

Right. Because I mean, they kept threatening or whatever, but it's so popular among the young in America. There were the reasons they were not able to fully get rid of it was partly that as well.

But they said they will Americanize it and get somebody to buy the equity. They're doing that. Yeah.

But otherwise, like the way we could shut it down, they couldn't do it there. But I would also argue that if were TikTok to be shut down, people would just switch to Instagram instantly. Could be.

But I'll be surprised because as I said, something prevented the American government from doing it. Maybe not to instigate part two Russia's actions. Because it would become harder for foreign companies to then invest and build in America, right? Yeah.

No, I don't think that was a consideration from what I gather because on TikTok, you know, like in terms of that, I just feel that they're quite transactional. And the thing about America also find today, like you talk about nationalism and stuff, maybe on brands. But otherwise, if you look at in America today, the amount of criticism against Trump government and their own government is in the media, at least, it's quite staggering.

In a part of the media. Yeah, of course. But I'm saying in that ecosystem.

Yeah, it's very polarized. Very polarized. Pro and anti.

Very polarized. But the anti stuff there is like anti, you know, on steroids always. Yeah.

Right? Yeah. But I think this is like a great call. I feel like AI and the ability to code with things like cursor and a bunch of other changes have democratized the ability to build a lot of these American products, which might have costed x at a fraction of x. So I feel like I heard the Prime Minister give the speech on Independence Day, where he said the same.

I feel like the China example is not a bad one for social media, for things like chatting. I don't know why I use WhatsApp to chat with people. Yeah.

Why am I putting my data on an American company and using that to communicate with people? Because there's no beta there. Like it's just a service where you type a message and you send it. Yeah.

It'll take a while, though, for these things to change. Yeah. You know, and for India to come up with its stuff.

China was able to do that, which was really remarkable. Yeah. Yeah.

But I think we should all try. Yeah. Like we, the youth.

I don't know if I'm youth anymore. I'm nearing 40, but whoever is the youth of our country should try. Yeah.

So for the FDI winter, capital controls become, capital account convertibility comes through, experience with regulator improves, notices being served go away. You have somebody to interact with where everything gets faster. Yeah.

You will get more money from your ex-company and your current company, Rockefeller and Morgenstern. Yeah. I'd say that.

And I mean, me in terms of raising my own money, my own fund and stuff for that. Yeah. I'd say that absolutely.

That will become, like I want India to get more capital. Yeah. Right.

Because my heart still lies here. This is where I want the thing to prosper. But I just want to sort of, you know, see this stuff happen in an easier way.

But, and also, as I said, the responsibility also has to be down with the chief ministers as well. Yeah. Especially for FDI.

Yeah. Yeah. Maybe not for FII, but FDI.

Why not for FI? Well, for FI, I think the regulatory environment is much more at the center. The categorization you would make is one is capital market and one is private market. Yeah.

One is public and one is private. No, I'd say that the one is in terms of is more, is more funding other. FDI is more direct.

Greenfield, where you're on the ground, whereas the other one's more capital flow, right? Which is that it's going to somebody else, but it's being routed through us. Right. Okay.

So in the last decade, small cap companies in India have outperformed large cap companies, and they are more expensive today. In the US, the case is the opposite. This to me seems worrying.

That so much retail money has gone into small cap companies in India. Yes. What do you think about it? I totally agree.

So which is that, in fact, you know, like one of my top 10 trends of the year, like I do this top 10 trends like every year. At the beginning of the year, one of my big top trends was this, that I expect much more, that the large caps to outperform small to mid caps for the small caps for at least the foreseeable future. I watched your top 10 trends for many, many years.

A, I like you. B, I also like Pranab Roy a lot. Right.

He's a good friend of mine. Yes. And I love the show you both did together for as many years as I've watched.

And we still do it. Yeah. Yeah.

So I think that that's it. And he wants to be accountable every year. But whether what he said was right or wrong.

So I think that that's one trend which I sort of believe in. Yeah. But the US, when the trend will turn, I just don't know.

Yeah. Because those big companies just eat everyone's lunch. Aren't the regulators trying to break them up? At least in some cases, like Alphabet, you know.

In fact, if anything, I find very counterproductive of the Trump administration steps, including the

latest bill, which they introduced the budget bill. The big, beautiful. Yeah, the big, beautiful bill.

They all seem to favour the big still. The tax rates, the concessions they get and stuff like that. I just don't see a movement towards that.

And I find that very disappointing. I know the previous government was anti-M&A, which allowed the big to get bigger. Trump is more pro-M&A and a lot of the deals are happening.

I know Figma was stalled and then they IPO'd. But while he's allowing for M&A to happen, isn't it like now that we're hearing about Alphabet needs to break down and stuff like that? It forced him coming to power? It's talk, but it's not really anything like I'm, in fact, I'd say the noise has gone less. So there's no movement in America to break these companies down.

And as you know, these companies, these are seven companies. But I think if someone gives a stat to me, these are really 850 companies. Which have been put together.

So if I was a regulator in America, I would like, even though I'm a free market person, I think it's become so extreme where you need. This is one area where I would say that almost that acquisitions need to be banned. You made a case for no subsidies, welfare state, all of that.

If you're running a race, it's a one kilometer race. If somebody's starting at 100 meters, somebody at 200, somebody at 500, somebody at 900. And the winner gets 100 bucks.

Won't the one at 900 continue to win in perpetuity and get bigger and bigger? If not for welfare and subsidies? No, but in the past, for example, like in America and other places, you had much greater churn. Something has gone wrong in the last few years, in the last couple of decades where the churn has reduced. I mean, all classic economic guys like Ayn Rand says that free market capitalism doesn't facilitate crony capitalism in a way.

It's when government is permeated. Yeah, but I'm saying something has gone wrong in the last 10-20 years. And I agree with that, where you've had increased subsidies, you've had increased government intervention, and the big have gotten bigger.

So that's what's happened. And why has it happened? As I've argued in my books as well, which is the fact that because you have so much in terms of amount of government intervention, that regulation, by definition, I keep saying is pro-incumbent. And the cost of regulation has gone up so much.

Like in America, I know, speaking from personal experience, if you set up a hedge fund today in America, the cost of doing that has gone up 10x over the last 20 years. The legal costs, the compliance costs, administrative costs. So then the threshold for you to break even has become much higher.

So for the average fund manager who's starting out, they're like, I'd rather join a large firm, they'll

take care of all these costs, and I'd rather be there. Because if you were able to break even, let's say $50 million of assets 10 years ago, or 20 years ago, today's probably, you know, like the break even is at 500 million, because the regulatory cost has gone up so much. Hence, as many people are moving to Dubai and places like that.

Oh, no, or just working for the large hedge fund, they'd rather go work with Citadel or Millennial or whatever. Because they can absorb the cost much more easily, given the scale. Whereas the average person, you know, like the average hedge fund, for them has become so much more difficult.

I remember. I know that no one has sympathy for hedge funds, big or small. But in general, I'm just using a personal, because, you know, we come from that field to see what that example is.

And I'm sure that's happening across the board. So if you look at America today, also, the confidence of the large cap companies is very high. Small to mid-size companies is very low.

But this has happened despite all sorts of government regulation, subsidies, bailouts, everything. Why? Because the people who benefit from this are the largest companies. But you're against the premise of a wealth tax, inheritance tax, all of that.

Wouldn't that help recalibrate? No, but I'm going to say that because how do you implement it? Countries have tried it. South Korea has it, right? I think the Samsung. I think five or six countries in the entire world where an inheritance tax still exists.

U.S.? No. Yeah, it's there. But I'm saying that, you know, but it's much more sort of not for companies and stuff.

It's there at an individual level. It's there. But the inheritance tax in terms of, and even U.S., they found ways of trusts and other places where you can get over it.

Yes. But in the U.S. too, that inheritance tax has not prevented these companies from getting bigger and bigger, right, over time. What's the fundamental problem today in America? It's that you're dominated by seven companies.

That, I think, has become a fundamental issue at many levels in America today. How does that change? If you had to suggest? Stop acquisitions. Which is what the previous government was doing? In a very haphazard way.

Leena Khan. Yeah, Leena Khan. But I almost had some sympathy for her or what she was trying to do.

Acquisitions, because these big companies have so much money today that they can just keep spending and shut out competition. Or make cost of capital go up. Yeah.

And also make it much more prohibitive for someone to fight illegally. I mean, if they steal patents, do other things. They can fight those cases so much more easily because they're just flush with so much cash.

So they've almost achieved escape velocity. Right. Where it's become impossible to try and curb them unless you actively do it.

Otherwise, the natural market forces are not being able to curb them. Capitalism is about competition. Yeah.

Is about churn. Yeah. But that fundamental concept is being violated by these companies.

I think traditionally, if I go back to Ayn Rand books, the smaller guy changed faster and disrupted the bigger guy. Yeah. Why is that not happening anymore? Because when the smaller guy changes and builds something, the bigger guy just buys him.

Yeah, absolutely. That's one. That's one thing.

Right. So much easier to just sell out to do that. The cost of doing business has gone up so much that you might as well just do that.

Interesting. Okay, coming to China. Interesting place.

I'm planning to go in September and spend some time there just to learn about what's happening on the ground. I feel like China is like a black hole. You hear one story outside, you hear another story inside.

What do you think about what's happening in China from the economic lens, from the lens of manufacturing, real estate, socio-economic classes? Are people happy, unhappy? Whatever your thoughts are. Yeah, so as far as China is concerned, we all grew up really fascinated with China. Have you been? Many, many times to China.

I mean, it was a very critical emerging market. So when I was at Morgan Stanley, I'd at least go there once a year, like to China, sometimes more. But once a year, I went there.

So I must have done close to 20-odd trips to China. And so I've seen it. And before I even went to China, I was fascinated by just seeing the way China rose.

And I remained a big bull on China until about 10 years ago or so. Then I got really concerned that everything that China believed in, it was violating, including the fact that the government... See, like one thing people forget about China, that the key success to China's economic story was the fact that the government got out of the way. Right.

When Deng Xiaoping began economic reforms in China in 1978, the government was practically

more like the entire economy. The government's share in the economy, if you look at employment and other things, over the next 30-40 years, fell to about 30%. So it was about the government... You know, we all think of China as a state-directed model.

It was quite the opposite. The government kept on getting out of the way, kept on giving more rights to the people. First, it was like agricultural land, then property rights.

You just kept giving those back to the people, privatizing a lot, as we discussed. Selling off, you know, unprofitable state-owned enterprises, firing people from those enterprises. So the government kept on downsizing and getting out of the way.

And so that was the great success story in China. But then, to sustain its economic model after a point, it started taking on too much debt to try and keep growing. Because it was very ambitious.

We want to still grow at 6%, 7%, 8%. And they built up overcapacity. And they built up a lot of capacity, and also they took on too much debt in terms of that.

So then I started to turn much more bearish on China. And the other big reason was demographics. That there is no country in the world which has grown rapidly without rapid population growth.

No country. China's population growth today is shrinking. With a shrinking population growth and too much debt, it is very difficult for a country to grow rapidly.

Now, what is still sustaining China today is the fact that it is its technological prowess. That is incredible. And when you go there, you will see it.

That even when I was going there, you know, like 10 years ago, it had already moved to a point where cash had become irrelevant. You could not use cash. Everything was done through digital payments and stuff like that.

Alipay or whatever it was. And then I remember that in 2019, even in places like Hangzhou, room service was actually being done by robots. This is huge advances in China.

So technology is its edge. And even on the AI front, the only other country in the world today which can do AI of any meaningful scale is China. No European country or any emerging market can.

So I'd say that China in terms of the two big negatives in China, too much debt and demographics are all negative now in China. Is India going the same way demographic wise? Yeah, but we are far, far sort of, you know, our population is not shrinking. In our lifetime.

Not up until 2100. Yeah, as I said, like in our lifetimes. And, you know, beyond a point that is too far off.

So for the next few years, yes, our demographic, our population growth also has slowed now. But it's no way close to sort of, you know, being a drag on growth or something. In China's case it is.

And they have too much debt. In fact, today China's debt today is like consumer debt or the debt as a share of its economy is same level as America. Even though America is, you know, a much richer economy and stuff.

So those are two big negatives. But the positive on China is the technology that they have. And the dynamism of that sector is still very, very impressive and very meaningful.

So that's how I see China today. You spoke about paying on Alipay 10 years ago. Why do super apps work in China and they don't work anywhere else? Super apps in terms of, you know, Like an app to do shopping, pay, book cars, book flights, plan travel.

Yeah, that's a good question. I wish I had an answer to that. I mean, that's a good question.

Maybe you'll come back with an answer to that. No, I've thought about it a lot. Yeah, but you know, like, I mean, it's interesting.

But you know, as I said, China is a very different market. The other thing about China, you know, which fascinates me is that it's the most competitive market in the world. Partly because of overcapacity.

But partly because again, you know, we always think that the capitalist model they have there is ruthless. So one of the reasons it's harder as an investor to make money in China than America is not because of anything else that the government's taking your capital. No, no, no.

It's because competition is so intense that they've launched a campaign now on how to consolidate. So America has the opposite problem. We have too much concentration of power and like a few companies making abnormal profits.

In China, you have the opposite problem of too much competition. Do you think that valuation bridge will go away? I think China is at what, 13 times forward earnings? The US is at 25, 26 times. I don't, like, it's very difficult because the profit margin is also so different between the two countries.

So it's very difficult because, but in China's case, that's the ironical thing. The competition is so intense. And that as an investor, you can lose money so quickly because you think you're doing okay.

Boom, some other one will come and take your margins away. You've spoken about American exceptionalism going away a whole bunch of times. It was part of your 10 themes to watch out for.

This year, yeah. It's not played out that much though because of the AI bubble. No, I'd say there are two ways.

I mean, like it has played out. One, it has played out in a way that the, this after a long time today, the international stock markets are outperforming America, right? So the American stock market, even after this big comeback is up about 8-9% for the year. The international stock markets in dollar terms are up 20%.

So American exceptionalism in a way, from that perspective, I'd said, my grudge against American exceptionalism was that by last year, it seemed as if the only country in the world that people were willing to invest in was America. And they all thought Europe, emerging markets, Japan was all junk, no need. Instead this year, the international stock markets have significantly outperformed America.

So in that way, American exceptionalism has been dented. The US dollar has fallen. But the only thing which has surprised even me is that how well the American markets have remained resilient, even in the face of all the tariffs and everything else.

So the two different statements. American exceptionalism was that America is the only place to invest in and will keep outperforming the rest of the world. That was the American exceptionalism thesis.

And that was, I'd said, had reached like already extreme and that was unlikely to continue. So in that regard, at least till now, the fact that the international stock markets in general have done much better this year than America, shows that's been dented. But the true test will come is when the AI bubble fades.

Then we'll see what really happens. Because if it weren't for the AI bubble today, the AI mania, I think the American stock market would be down. So if you look at the American stock market today, the average stock in America is barely up.

But whatever returns that you're getting, 8, 9, 10% at the overall index level, is all happening because of the AI dominated companies at the top. In a free market capitalistic society like America, will that society thrive only as long as wage growth, inflation is higher than asset price inflation, which has not been the case in America for the last couple of decades? It's been the case for a long period of time. But yes, I think inequality, that's the problem.

And this has been my issue with the Fed and other things, that the policies have been very in favor of asset owners and capital. By keeping capital cheap. By keeping capital cheap and also by the tax rates.

There's a big gap in America between how much you tax wages and salary compared to how much you tax capital. And you're not making a case for taxes on assets to go up, but for salaries

to come down. Yeah.

It's just too onerous in terms of that. And that can only happen if you cut spending. And that again, as I said, we can talk about advice.

The chance that this is happening is zero. Yeah. And until you get an economic crisis, no one cuts government spending anywhere in the world.

What can India do to make sure wage growth is higher than asset growth in the next 10 years? No, I think it's about productivity. That if you end up getting productivity, labor productivity does decently, wage growth will go up. And asset prices in terms of the factors that you know, like how much free money is being given out by the government and all that.

And to make sure the tax rates between the two aren't that different. You know, so that you're not incentivizing too much money, which only goes to capital and not enough to wages. In a dystopian world where not everybody has to work because of productivity through AI, if less people choose to work, wage growth increases for the ones that do choose to work? Yeah, that's in terms of that's true.

But in terms of why would these people choose not to work is because you're going to give them subsidies and other stuff, I guess. Yeah. Do you think everybody wants more in perpetuity? Yeah, you know, like someone gave me a very interesting line in this.

In fact, I can probably name him like Ajit Jain from Berkshire Hathaway, that no matter what your net worth is, you always want to be 2x. Everyone thinks everyone across the income curve, unless you're Bill Gates, who apparently said that for me, everything is free. So that's different, right? But for most people across the spectrum, I've noticed, especially amongst the, you know, like amongst the middle class or middle class, even if you end up making, even people who, you know, like are worth 50 million or say, just keep wondering, only if I was 100 million, I would be so much happier.

But, you know, and if you were like, if you're making like a million dollars or whatever, or you have even a net worth, if I had two, I'd be happier. I think it was a very basic observation, but I saw 99% of the people, it's somewhere fundamentally true. But maybe the commodity of transaction changes depending on the ecosystem that you're in.

In a socialistic world, does the commodity change from money to proximity to power? Yeah, yeah. That was the case in India. Like Mamdani's New York.

Yeah, but it's the case in India too. We live through that era, where sort of, you know, the most high minded thing in India was to be part of government, to join the IAS and stuff. I mean, when I grew up, my grandfather, his aspiration was to join the IAS.

And, you know, it was that. But I don't think today the aspiration is necessarily that. It's still there a

lot.

Yeah. But the degree has changed. Actually, it's changed abruptly, I think 10 years ago.

Back then, I would still hear about people wanting government jobs. I don't hear that at all anymore. Do you? Again, it depends about what your demographic is.

My demographic is skewed. Yeah, because if you look at the numbers, that when you have an opening for a government post, the applicants are still like way above what the, you know, like the applicant to acceptability ratio is still very, very skewed. But yeah, among our demographics.

Yeah. In terms of if I can say so very bluntly, in this demographic, government is a, is not anywhere close to the top for, you know, 99% of the people. Yeah.

I've been wondering a lot about gold versus Bitcoin. I hold a lot of gold. Yeah.

I try and make it a habit to keep between 8 to 10% of whatever I have in gold. And I've been doing that for a long time. It's done very well.

Now I'm trying to, okay, one is a very stupid theory. Like what happened to lab grown diamonds? There are some crazy people who are talking about how gold might be produced in a lab. I don't buy into it.

It's a part of the fusion process where it's a by-product and stuff like that. Forget all of that. Let's assume the amount of gold in the world is in some way finite.

And the cost of mining and lifting that gold out of the ground is X. There is a premium about that because of desirability. The amount of gold that a Bitcoin could buy X years ago, I think like 5 years ago or 10 years ago. Today, a Bitcoin is able to buy a lot more gold.

It has beaten gold significantly in the last few years. Crypto, Richard, is a new world for me which I don't have any expertise in. I have some kind of academic curiosity about.

I've never bought a Bitcoin in my life. But off late, I've been trying to figure out. I'll give you a very pragmatic example.

I spent some time thinking, should there be a stable coin to solve for the remittances coming into India? A stable coin which is not denominated by the dollar but denominated by another asset where India as a country has more control over it. If you had one binary dollar again, gold, Bitcoin, what do you think happens? And can you make a case for or against either? I mean, I think we just spoke about it that I am like equal. I mean, like I, you know, like do the two equally because I've been bullish to equally because my negative views on the dollar, right? So therefore, I see both those as sort of anti-dollar plays.

That's how I view the two of them. So would equity sit on top of both? No. Because equity... I mean, it depends on... No, no.

Depends on which equity, not US equity. No, just equity overall as an asset class. Oh, of course.

As an asset class, yes. As an... Yeah, yeah, totally. People are telling me if you have a Bitcoin in a D5 world... Yeah.

...there will be a yield attached to it because you can lend it. Yeah. It's the equivalent of lending money.

But also you get a lease rate and stuff like that. So I'm not sure how much that's going to change. But wealth creation, I don't think the basics, the 101 of wealth creation will change.

Yeah. That, of course, equity valuation will always matter because even the US market, remember, has gone through many periods when the real return on equities has been zero for 10 to 15 years. Yeah.

So the equity returns will be chunk. Gold too. Like, I also, I mean, used to be bullish on gold.

And then for a while, I gave up on it because it never seemed to work and stuff. Even gold went through the entire, like, you know, like the entire 2010 decade doing nothing. So you'll keep getting these chunky returns.

I think that the issue is this, you know, which I feel is that so much of the function of a time horizon. And I feel that the biggest frustration for most people happens is that what they say the time horizon and how they experience the time horizon is very different. People will tell you, yeah, we're looking at a retirement, we're looking at, you know, the next 20, 30 years, what happens and stuff.

And yet they're looking at the portfolio on a daily basis. Yeah. And they're like, looking at the P&L, you know, like every day, even professional portfolio manager.

It's a term that I, in fact, I mean, I use it, we all suffer from something called portfolio disease, which is that we all are like, you know, habitually looking at screens and looking at what, at what performances. And yet we think that we want to invest in the long term and stuff. There's a big disconnect between these two things.

And we have to be self-aware of it. So I try and think of myself as an investor where the outlook every year, I sort of, you know, rethink what my outlook is and every three to, I mean, I typically have a holding period of three to five years. I think they're not long term.

Sorry? Which is also not long term. Yeah, but it's longer term than most people can think and you have to try. And despite doing that, on a daily basis, the noise is there about what's happening to

your stock value.

And it affects you. Yeah. I don't know of anybody who's not affected by their portfolio going up and down on a daily basis or their stock, or their, I mean, the biggest business people who, from the corner of the eye, they're not watching what the stock price is doing.

It's the same extrapolation as saying people don't want a higher net worth. Uh huh. Right? Yeah.

If people are watching and wanting their net worth to double, they're also watching the stock price. Yeah, that's right. But they're all the time because you don't know, there's no end of that ambition.

Yeah. And yeah. There's a big debate on private market versus public market.

Of late, I've heard a lot more people say the opportunity lies in private versus public, because public is so expensive. I'm also, at some level, a proponent of that because I have more negotiating power if I'm bargaining with a company which is not listed. What do you think? In India, that may be true, but not in the US.

Yeah. US, the entire bubble is now in the private markets and it's not been tested. Yeah.

People think they're earning 10 to 12 percent. But... Paper. The credit cycle hasn't been tested.

Yeah. We don't know what's going to happen like on a downturn. So in India, I think it's very different because we're still at the infancy stage of the private market here, especially on private credit and stuff.

Yeah. But not in the US and other places. They're the private markets.

I'd say I would not put any money in private markets in the US today. There would you... In like public markets. And if I have to be in the US, I'd be in the public markets.

Right. So you don't like the idea of American valuations today. So you won't put money there.

No, I'll put money in America only to the extent that I believe in AI. So you will put money in AI companies in America. I'm saying that as a small portion to what I think.

But otherwise, most of my capital is international today. My own portfolio. And where is that going? It's mainly emerging markets.

And even Europe. Which one? So emerging markets, but again, you know, for example, I think Eastern Europe looks very good. The Greece, the Poland's.

Why is that? Because of the fact that these countries are... You know, it's very interesting that all these... Like in Europe, typically we speak about Europe in generic terms. And we... It is cast in a

very big... Like in a very bad way. But there's only three Europe's.

There is continental Europe, which is the Germany, France kind of countries. Then there's Southern Europe. And there's Eastern Europe.

And the Southern and Eastern Europe growth prospects have been very different than the big continental Europe. Southern Europe and all these countries were called the pigs. Because they were totally bust or close to bust 10 years ago.

And yet they have now... They are booming. Spain, Greece, Portugal. They're doing very well.

Everything which had bankruptcy news five years ago. Yeah, 10 years ago. Because you know why? Because whenever countries bankrupt or close to it, that's when they carry out change and reform.

Whereas countries which are cruising, like Germany was cruising 10 years ago, they get complacent and stop taking any action. Which could be the risk for the US today as well. And Eastern Europe has always been a very vibrant manufacturing hub.

And so the next country to become a developed country likely is going to be Poland. You know, and it's very rare for a country to become a developed country after being an emerging market. Most emerging markets keep emerging forever.

So I think that that's the thing. So I think that those places are doing well. I think that, you know, then you have countries like Vietnam, you know, doing decently.

And then I'm also turning much more optimistic on Latin America. And are you being sector specific? Are you buying the index? In emerging markets, I've always believed that getting the country right is very important. More than the very top down.

Yeah. In emerging markets, country. And then at the end of the day, you have to buy the best quality companies in that country.

But if you get the country wrong, then if you're investing in Argentina, and Argentina is a basket case, good luck spotting the one company out of 1000, which is going to... You don't like Argentina under the new leader with Mele? Absolutely. I like it. I heard him give a speech, even though in not in English, obviously, but there was a translator.

And I thought he was incredible. Yeah. Yeah.

So a lot of people are very simplistic view, like about him because he comes across as a maverick and he's close to Trump. Yeah. But he's a very, he's a true capitalist.

That he's not, he's not a state interventionist capitalist. Yeah, I think he got into a bit of trouble recently, like his family launched some coin which failed. Yeah, that's right.

Even now some scandal he keeps facing. So that's, again, part of being the leader of any country. Yeah.

Like if I were the lead, I mean, I don't think I will ever be the leader of anything. But if there was a person who was a leader of a country, he will have scandals along the way. Yeah.

So I'm going to put you on the spot. Last question for tonight. Don't give me 10 trends of tomorrow.

Give me one or two that you didn't give last time around. As I said, for me, the big thing now is that the only reason for investing in the US today is AI. Otherwise, the rest of the world will do better than America.

And even if you're doing AI and you put a buck into 100 AI companies, you lose money. That is my thing that for the next, in the next five to 10 years, that we as a consumer will benefit. But I'm not sure that the producers of AI, so to speak, are going to be the beneficiaries.

I don't think that's going to be the case. Okay. Second? So I think that's one.

Second is the fact that I think that the continent that could surprise on the upside, some way or the other could be Europe. Because I feel that people have completely written off Europe. Eastern Europe? No, in general Europe.

Eastern Europe's doing well. Southern Europe's doing well. I think even continental Europe could surprise on the upside because I feel that people have really, really given up on that continent and expectations are very low.

And if there's any place where leadership can emerge to do something with the US, like in terms of challenge or something, that's the only place which can come out of it. I don't see any place. What are you thinking when you say Europe? I was in London recently.

Things look quite bleak there. London, not Europe. But I think something has to happen.

I'd say Germany has to surprise us on the upside somehow. Because it has the potential but it's a terrible funk today. What sector would it be though? Iron manufacturing? Could be.

I mean, defence is already doing, you know, like reasonably there and all that sort of stuff. You know, like I'm always looking for places where expectations are very low. And I've tried to stay away from places where expectations are very, very high.

I think that's a fundamental concept that I try and keep in mind. If there's a sector in India that could lead growth over the next decade, do you have any? There's only one. And I think it's manufacturing.

You think? Yeah. I'm saying if growth has to happen. I don't see like anything else.

And in India, like it's very interesting. One of the trends that I noticed was, and this is very counterintuitive, even though manufacturing as a share of GDP has not gone anywhere for a long period of time. Today, the maximum number of billionaires in India today are manufacturing.

Are they? Yeah. Like 200 billionaires in India today, about I think 40 odd are in manufacturing. So all these companies like Havel, Spitlight, whatever, this is where the manufacturing like really has shot up.

Right. Services is about 59% of the Indian GDP now, which is the only thing which is really growing. Yes.

And yet the billionaire wealth creation, the maximum in the last 10 years, again tells you about how the Indian model works. In the previous 10 years were all the IT guys, services. Yeah.

So the number one today is manufacturing. I think number two today, you know, because I do these lists all the time, the billionaire lists and see what trends emerge from them. I think the second is possibly pharmaceutical, I think in the country today.

But number one is manufacturing. So it tells you again, manufacturing the share of GDP hasn't done that much. But those who succeed in manufacturing make a disproportionate amount of wealth.

And the market values them for it. Dixon, all these companies. They get crazy multiples.

Yeah, exactly. And that too contract manufacturing, not brands. Yeah.

Can you be... So it just tells you about what happens that those who can crack manufacturing is where the real wealth creation has happened. Yeah. Yeah.

At a big scale. Yeah. Interesting.

Any other trends? Well, since you asked me not what I've already... Yeah, new. I'm still thinking about... It's at the end of the year that I think of what my new trends are going to be for the... It's like a preview. It's like a preview.

But as I said that, I think that these are top of the mind just now. As I said that, that the politics is really shifting in favor of like in Latin America, where because of Malay and other places, the continent's moving more right. And I was just in the region that is really disappointing me the most is the Southeast Asia, ASEAN region.

This used to be the region with lots of growth and lots of stuff which is going on. And yet, look at the fact that, you know, they're getting like really flooded with Chinese imports. And you can see

that their industrial sector and all are getting hollowed out by that.

And it's having an effect on their employment and stuff. So that's one big trend we'll have to watch for is this flood of Chinese imports. What impact it has on economies around the world.

But I worry about the same with manufacturing in India. Like, sans anti-dumping and heavy duties, they, like we're part of some companies which are making solar cells all independently in India. They just dump at whatever price.

As long as they're in the market, how does anything domestically grow even in manufacturing? Yeah, that's a challenge for us. But as I said that people who are able to crack it in India have done really, really well. So as far as, you know, so they said that I just feel the fact that, and I still feel the dollars on a, you know, like on a big declining path.

Even versus the rupee. As I said, this is one of the very strange years where the worst performing currency in the world is the rupee. Which doesn't make sense.

I realized this when I was traveling somewhere and I saw that the pound is suddenly 118 or something like that. I'm like, when did this happen? I remember I did 100 bucks. Yeah.

And that's happened very quickly, right? Yeah. For five months. Yeah.

Yeah. So hopefully the rupee stabilizes here. But, you know, like in terms of that, that's already surprised me because I expected that the rupee would benefit a bit from this dollar depreciation.

Even if not in the short term, in the long term, I guess the US will want to have the rupee appreciate. What the US want, beyond a point, markets do their own thing. But as I said, that if we start getting more foreign investment flow back in here, that's, I think, will help the rupee.

Unfortunately, foreign investment flows into India are still very, very low. It's just that the current account deficit is also not very high. So I think that's what's there.

But otherwise, we need much more foreign investment to come in. Maybe our suggestions will happen and something will change and more money will come. I'd love that because there's nothing which would make me happier to spend more time here.

Yeah. No, thank you, Richard. Today was so much fun.

Thank you for doing this. We'll do another like session sometime later in the year. Maybe go down to like basics of finance.

Done. I'd love that. Thank you.

Thanks, guys.